

MANUAL OF ACCOUNTING PROCEDURE

EMPLOYEES' PENSION SCHEME, 1995

PART - IV

**SCHEME ON DISBURSEMENT OF PENSION
THROUGH NATIONALISED BANKS**



Employees' Provident Fund Organisation

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EMPLOYEES' PENSION SCHEME, 1995

SCHEME ON DISBURSEMENT OF PENSION THROUGH NATIONALISED BANKS

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CHAPTER - 1
MANUAL FOR DISBURSEMENT OF PENSION UNDER
EMPLOYEES' PENSION SCHEME, 1995
BY
NATIONALISED BANKS

INTRODUCTION :
EMPLOYEES' PENSION SCHEME, 1995

- 1.1 The Employees' Provident Funds and Miscellaneous Provisions Act, 1952 is a labour welfare legislation providing social security benefits to the employees working in the factories and establishments.
- 1.2 Apart from the benefits of Provident Fund and Employees Deposit Linked Insurance Schemes, the Act also provided for Family Pension to the family of the employees, who died while in service through Employees' Family Pension Scheme, 1971. This Family Pension Scheme was replaced by the Employees' Pension Scheme 1995 on 16.11.1995.
- 1.3 These Schemes are administered by the Central Board of Trustees, Employees' Provident Funds through the Regional and Sub-Regional Offices of the Employees' Provident Funds Organisation, functioning under the control of Ministry of Labour, Government of India.

TYPES OF PENSIONARY BENEFITS UNDER THE EMPLOYEES' PENSION SCHEME, 1995

- 1.4 The Employees' Pension Scheme, 1995 provides monthly pension benefits to its members and their family members :—

To the members

1. Superannuation Pension
or
Retirement Pension
2. Permanent & total
disablement Pension

To the family members

1. Widow/Widower Pension
2. Children's Pension
3. Orphan's Pension
4. Nominee Pension

- 1.5 In addition to monthly Pension, a pensioner, is also eligible to get a lumpsum commuted value of Pension and Return of Capital on opting for Reduced Pension.

- 1.6 The booklet explaining the detailed procedure of disbursing the Pension and the accounting of funds received from the Employees' Provident Fund Organisation will enable the disbursing banks to streamline their operation and thus provide a satisfactory service to the Employees' Provident Fund Organisation as well as the pensioners under the Employees' Pension Scheme, 1995.

EMPLOYEES' PENSION SCHEME, 1995 **FLOW CHART CHAPTER - 2**
DISBURSEMENT OF PENSION THROUGH BANKS **(Monthly Cycle)**

REGIONAL OFFICE/SUB-REGIONAL OFFICE OF

LINK BRANCH OF THE BANK

PAYING BRANCH

FORWARD --- PPOs to Link Branch together
On 20th of each month
 with monthly statement of PPOs in triplicate
 - Cheque towards pension due to Link Branch
 - Summary sheet of all paying Branch

On 20th - Verify & Index PPOs
On 20th - Credit the current SB A/c of RO/SRO
On 23rd - Forward Statement & PPOs to paying Branch

On 25th - Index PPOs & Link in ledger folio (EPFSM)
On 26th - Advice Pensioner to appear
Last day of month - Deliver Pensioner's PPO
specified date - Credit pension to SB A/cs & complete statement
On 8th - Return statement (in duplicate) to Link Branch and claim reimbursement of pension disbursed from link branch

On 12th - Reimburse amount to paying Branch.
On 12th - Debit Current/SBA account of RO/SRO
On 15th - Forward Bank statement to RO/SRO
On 15th - Forward payment statement and branchwise summary
On 15th - Claim service charges from RO/SRO

On 17th - Reconcile Bank statement - Adjust the Balance in current/SB account
On 17th - Forward Annexure - 3 to EDP
On 17th - Update Master file of pensioners
On 17th - Release service charges to Link Branch

CHAPTER - 3

ARRANGEMENT FOR DISBURSEMENT OF PENSION

- 3.1 In order to ensure that the pensioners under the Employees' Pension Scheme, 1995 receive their pension promptly and also aiming at a trouble free service to them, the Employees' Provident Fund Organisation, by virtue of the provisions of Para 33 of the Employees' Pension Scheme, 1995, has finalised in Principle, an arrangement in consultation with IBA and Deptt. of Banking, with the State Bank of India and other Nationalised Banks. Accordingly, the Regional Provident Fund Commissioners are authorised to enter into an agreement with one or more banks having wider network of branches located throughout the Region. (Ref. : Annex :14)
- 3.2 Payment under the Employees' Pension Scheme, 1995, is similar to Central Government Pension Payment system, except there is no focal point bank system.
- 3.3 Under the Central Government Pension payment system pension paying branches submit the Pension Payment Scroll to its Link Branch and in turn the Link Branches consolidates and submits the Pension Scrolls to focal point bank viz., Reserve Bank of India or State Bank of India or its subsidiaries for obtention of pension reimbursement. In the case of Employees' Pension Scheme, 1995 the Pension Paying Branches have to disburse pension on the last working day or any other appointed date of the month based on the pension statement received from the Link Branch. The Link Branch shall reimburse the actual amount of Pension disbursed to the concerned paying branch, duly debiting the SB Account/ Current Account of Employees' Pension Scheme, 1995 of the concerned Regional Office/Suo-Regional Office.

CHAPTER - 4

LIST OF BANKS DESIGNATED AS DISBURSING AGENCY

- 4.1 A Regionwise list of Nationalised Banks with whom agreement has been entered into for disbursement of Pension to the beneficiaries under Employees' Pension Scheme, 1995 and also to the Pensioners under the erstwhile Employees' Family Pension Scheme, 1971 is given in Annexure 1.

CHAPTER - 5

LINK BRANCH & PAYING BRANCH OF BANK

- 5.1 The designated Bank authorised for disbursing of Pension will identify a Branch located in the station at which the Regional/Sub-Regional Offices of the Employees' Provident Fund Organisation is situated to act as Link Branch. The detailed functions of the Link Branch is given in the Chapter - 13. The Employees' Provident Fund Organisation shall maintain a Current Account/SB Account Viz. Employee's Pension Scheme, 1995 Account in the Link Branch only and the payments due towards disbursing of Pension will be remitted to the Link Branch in advance for credit therein. The Link Branch shall maintain the account and arrange for disbursing of Pension through its various branches. The Link Branch shall furnish a statement in respect of the Current/SB Account maintained showing the details of the amount received, amount paid, and also to obtain the details of disbursement made by the branches and furnish them to the Regional/Sub-Regional Offices on the stipulated date. The Link Branch will nominate an Officer to liaison with the Employees' Provident Fund Organisation and sort out the day-to-day problems, if any, and to ensure that the disbursement of pension is made on due dates and the EPS' 95 Account is duly reconciled every month. The prescribed service charges will also be paid to the Link Branch. All correspondence in regard to Pension will be made only with the Link Branch and the details required by the Regional/Sub-Regional Offices will be collected by the link branch from the Paying branches and forwarded to the Regional/Sub-Regional Offices. All branches of the bank are known as "Paying Branch" for disbursement of Pension. The pensioners are required to maintain S.B.Account exclusively for credit of pension amounts with the Paying Branch for receiving their monthly Pension. The Link Branch will also act as Paying Branch. The duties and functions of the Paying Branch is given in Chapter-14.
- 5.2 The Link Branch shall furnish the list of branches along with the Branch Code Nos. to the respective Regional/Sub-Regional Offices of the Employees' Provident Fund Organisation.

CHAPTER - 6
AUTHORITIES COMPETENT TO ISSUE PENSION
PAYMENT ORDERS

- 6.1 A pensioner who is eligible to draw Pension will be issued a Pension Payment Order by Asst.. Provident Fund Commissioner as authorised by the Regional Provident Fund Commissioner incharge of Regional office/Sub-Regional Office. The name and specimen signature of the Asst. Provident Fund Commissioner duly attested by the Regional Provident Fund Commissioner incharge of Regional Office/Sub-Regional Office will be communicated to the designated Link Branch of the Pension Disbursing Bank. Any change of authorised officer(s) will be immediately communicated by the Regional/Sub-Regional Office concerned to the respective Link Branch of the Bank. The officer authorised to issue Pension Payment Order will also affix his embosing seal in the Pension Payment Order.

CHAPTER - 7

PENSION PAYMENT ORDER ITS CUSTODY, OPERATION, ETC.

7.1

The Pension Payment Order is generated through Computer in the Regional/Sub-Regional Office of the Employees' Provident Fund Organisation. A specimen of the Pension Payment Order is given in Annexure - 2. This contains two portions, viz - Pensioner's portion and Disburser's portion. The Pensioner's portion of the Pension Payment Order will be given to the pensioner by the disbursing bank through its paying Branch. The Disburser's portion will be retained in the safe custody of the paying Branch. For this purpose, the Disburser's portion of the Pension Payment Order shall be placed in a serial order in a separate file, which must be kept in the personal custody of the authorised officer of the Paying Branch in a manner that pensioners do not have access thereto. The Pension Payment Order will indicate the details of persons eligible to draw pension, the quantum of pension payable and the period upto which payable. The pension payment will be made automatically to the persons mentioned in the Pension Payment Order without referring back to the issuing authority. The joint photograph of the pensioner alongwith his spouse will be affixed in the Pension Payment Order. On death of the pensioner drawing his life pension, the pension will be passed on to the widow/widower and to the children (upto two children at a time, upto the age of 25 years) as specified in the Pension Payment Order, through a separate Savings Bank Account opened by each of the widow/widower/children including minor children. Wherever the Children Pension is payable to a person who is a major/minor, a separate Savings Bank Account may be opened duly obtaining the photograph (in duplicate). In the case of minor children the photograph of the guardian who operates the account in the name of minor should be obtained. One copy of the photograph may be sent to the authority issued the Pension Payment Order.

CHAPTER - 8

MODE OF CREDITING PENSION

- 8.1 Payment of pensions (including family pension) will be automatic and no bill will be required to be submitted. The amount of monthly pension, including relief on revaluation of pension sanctioned by the Employees' Provident Fund Organisation from time to time, will be credited by the Paying Branch selected by the pensioner, to his or her individual Savings Account already opened or to be opened with that branch.
- 8.2 Payment of pension in cash or through a 'joint' account with or without 'either or survivor' facility is not permitted in the Scheme.
- 8.3 The account cannot also be allowed to be operated by a holder of power of attorney. However, the facility of allowing cheque books and acceptance of standing instructions for transfer of funds from the account is admissible as per instructions of Reserve Bank of India as applicable to Central Civil Pensioners. The widow/widower/major/minor children (by the guardian) are required to open a separate Bank account for each person to draw their pension.

CHAPTER - 9

DUE DATE FOR PAYMENT OF PENSION

9.1

Pensions fixed at monthly rates are payable monthly by way of credit to the pensioners' account on or after the last working day of the month or any specified date within the first week of month, to which they relate except in the case of pension for the month of March which shall be paid on or after the first working day of the succeeding month, or any specified date within the first week of month. If, in exceptional cases, the pensions could not be credited on the last working day/specified date it must be ensured that it is credited as soon, thereafter, as possible and in any case not later than the 7th of the month following the month for which pension is due.

NOTE: The term "working day" shall be deemed to be a day on which the concerned Paying Branch is open for transacting its ordinary business with the public.

CHAPTER - 10
MAINTENANCE OF BANK ACCOUNT - EMPLOYEES'
PENSION SCHEME 1995

- 10.1 As per the agreement, the Employees' Provident Funds Regional/Sub-Regional Office is required to place requisite funds in advance with the Link branch for disbursement of pension for the ensuing month. For this purpose, the Regional Office/Sub-Regional office is required to open a current/SB account in each link branch in the name of "Employees Pension Scheme 1995 - (Regional office/Sub-Regional office) _____". The Regional/Sub-Regional office of the Employees Provident Fund will send an Account Payee cheque drawn in favour of the link branch on 20th of every month i.e. 10 days in advance of the month, covering the amount assessed for disbursement of pension for the ensuing month. The amount received will be credited to the above current/SB account and without waiting for the realisation of cheque, the link branch should arrange to despatch the Pension Payment Orders received from Regional/Sub-Regional Office to the concerned paying branch through a courier or by speed post. The link branch shall not place any amount with the paying branch at this stage. A monthly statement of Pension Payment in Annexure '3 (in duplicate) together with a cheque for the assessed amount will be sent to the link branch by the Regional/Sub-Regional Office of the EPF Organisation.
- 10.2 The paying branch is required to credit the pensioners account as per the pension payment Order and with reference to the Monthly statement received from the link branch.
- On 8th of every month, the Paying branch shall return 2 copies of the statement, retaining a copy with them, indicating the date and quantum of pension paid in respect of each pensioner, to the Link branch.
- 10.3 On 12th of every month, the link branch shall return one copy of the statement received from paying branches to the RO/SRO of EPFO duly indicating therein the quantum of pension disbursed, excess/short payment and also the details on cessation of pensions on account of death/remarriage etc.
- 10.4 On the basis of this paid statement the link branch shall reimburse the amount due to the paying branch, duly debiting the current/savings bank account of the Employees' Pension Scheme, 1995.
- 10.5 On 12th of every month, the link branch will furnish a bank statement showing the credits given, debits made towards the reimbursement made to each branch and balance in current/savings bank account.
- 10.6 The Regional Office/sub-Regional Office of the Employees' Provident Fund Organisation will make necessary adjustment of balance in the current/SB account after due examination by 20th of each month before releasing the next advance payment.
- 10.7 The demand towards service charges should not be included in this current account. No. withdrawal from the current account is allowed either by advice or through cheque from the Regional Provident Fund Commissioner/Assistant Provident Fund Commissioner of the Regional Office/Sub-Regional Office. Accordingly, no cheque book will be supplied to the account holder.

CHAPTER - 11

DISBURSEMENT OF PENSION - PROCEDURE

- 11.1 The link branch of the designated Bank is the nodal point to ensure proper and prompt disbursement of pensions under the Employees' Pension Scheme, 1995, co-ordinating the activities of Regional Office/Sub-Regional Office and the paying branches, in the matter of receipt and disposal of Pension Payment Orders, monthly disbursement, maintenance of current account and reconciliation with the payment received from Employees' Provident Fund Organisation and the amount reimbursed to the paying branches, etc.
- 11.2 Whenever the PPO is forwarded by the RO/SRO of the E.P.F. Organisation to the Link Branch (Annexure-6), the Link Branch designated Officer should verify the signatures of the Authorised Officer affixed on the PPO with the specimen signatures available with Link Branch from time to time, and then ensure to send the PPO to the Paying Branch concerned under their jurisdiction within 3 days for disbursement of pension after proper identification and in the manner prescribed.
- 11.3 The Paying Branch should verify the PPO and keep in a separate file for its preservation and maintenance being the basic document for release of pension.
- 11.4 A monthly statement of Pension Payment in Annexure No. 3 will be prepared by the RO/SRO of EPFO in triplicate, paying Branchwise, and will be forwarded to the Link Branch by 20th of every month together with a summary sheet of all the Paying Branches in duplicate, in Annexure-5 and a cheque for the amount of deposit for disbursement of Pension on month to month basis. The amount required for the payment of pension during the next month will be remitted by RO/SROs after adjusting the balance amount, with due examination, if any, at the close of the month.
- 11.5 As explained above, the Regional Office/Sub-Regional Office of the Employees' Provident Fund Organisation will release cheque on 20th of each month towards the pension due for disbursement in the ensuing month. This advance payment by Regional Office/Sub-Regional Office will cover all the pensions due for the current month i.e. pensions which are current till previous month and also all cases for which pension payment Orders released in the current month. Wherever arrear pension is due, the same will be included. In addition, the dues to the pensioners towards Return of Capital and commuted value of Pension, relief, etc., as and when payable, will also be included.
- 11.6 The Monthly Statement of Pension Payments in Annexure No. 3 received from RO/SRO should be checked by the Link Branch. Any discrepancy noticed should be taken up with RO/SRO for due rectifications. The said statements (in triplicate) will be sent to the concerned paying branch on 23rd each month. The Paying Branch on receipt of the said statements and after verifying the Pension Payment orders included therein, shall disburse the Pension duly crediting the amount on due date to the Saving Bank accounts of the pensioners. In the case of new pensioners, the paying branch shall intimate the pensioner through the form prescribed for this purpose (Annex. No. 10). As and when the pensioner appears and after satisfying the identity of pensioner, the Saving Bank Account of the pensioner will be allowed to be operated.
- 11.7 On 8th of every month, the paying branch shall return the duplicate and triplicate copy of the said statement to the link branch. The link branch shall forward the duplicate copy containing the date of payment and other details on cessation of pension, if any, to the RO/SRO concerned on 12th of each month. A summary on total quantum of pension disbursed by each branch and the consolidated amount of pension disbursed by the bank during the current month will be sent alongwith the said statement in Annexure No. 5, duly indicating the balance available in the Current/SB A/c maintained at the Link Branch.

CHAPTER - 12

SERVICE CHARGES

- 12.1 As per the agreement, the Employees' Provident Fund Organisation will pay service charges to the Bank @ 2.5% (all inclusive) on the turnover of the pension amount disbursed. The service charges should be claimed by the link branch from the concerned Regional Office/Sub-Regional Office on or before 15th of every month, furnishing a statement of pension actually disbursed by the paying branches (Annexure-5) in the preceding month. The demand should be sent to Regional Provident Fund Commissioner in the form prescribed (Annexure-15). The Regional/Sub-Regional Office will remit the service charges through a separate cheque and forward to the concerned link branch within 7 days of the receipt of the demand.
- 12.2 Under no circumstances, the service charges due from Employees' Provident Fund Organisation should be adjusted in the balance lying in the pension (current/Savings bank) account maintained at the link branch. Similarly, the cheque received towards service charges should not be reflected in this account.

CHAPTER - 13

DUTIES AND FUNCTIONS OF THE LINK BRANCHES

- 13.1 The Regional/Sub-Regional offices of the Employees' Provident Fund Organisation shall maintain a current account/SB Account with the link branch. It is operated only to receive the pension due for disbursement in advance i.e. on 20th of every month from the Regional office/Sub-Regional Offices and from this account payments are made to the paying branch towards reimbursement of pension, disbursed by them.
- 13.2 The specimen signature of the officers authorised will be made available to the pension link branch by the Regional Provident Fund Commissioner well in advance. The link branch has to keep the specimen signatures of the Officers authorised to sign the Pension Payment Order in their safe custody and make use of the same for verification of signatures in the Pension Payment Orders.
- 13.3 On 20th of every month, the Regional Office/Sub-Regional office shall forward the Pension Payment Orders through a special messenger and link branch will maintain a index register of the pension payment in the form prescribed in Annexure - 8 to serve as a consolidated record of the Pension Payment Orders received by it from the Regional Office/Sub-Regional Office for arranging payments there against at its specified payment branches.
The genuineness of the Pension Payment Orders issued will be verified by the Link Branches of the bank by comparing the specimen signature and of special embossing seal received by them separately (to be obtained, if not already on record), with those affixed on the letters from the Regional/Sub-Regional Office forwarding the Pension Payment Orders.
- 13.4 All the Pension Payment Orders should be transferred to paying branches located in the same station through a special messenger/courier service and in case of outstation, the Pension Payment Orders to be sent by courier service/speed post and obtain proper acknowledgement.
- 13.5 Simultaneously, the link branch shall ensure to forward the Monthly Statement of Pension amounts received from RO/SRO of EPFO, paying branchwise in triplicate (Statement No. 3), showing the amount to be disbursed by each paying branch and send it to them for ensuring timely credit to all the pensioners account.
- 13.6 On receipt of the paid statement from the paying branch, the link branch will take note of the pension paid, amount of excess/short paid etc. and advise the RO/SRO suitably in Annexure No. 5.
- 13.7 The duplicate copy of the paid statement alongwith branchwise summary shall be sent to Regional Office/Sub-Regional Office. In addition, the link branch shall furnish a statement on the amount lying in the link branch. The paying branch as well as link branch are advised to exercise adequate care and caution in handling the pension account to avoid any loss or damage for the bank or the Employees' Provident Fund Organisation.
The balance, if any, in the current/SB account after disbursement of pension in a particular month will be adjusted in future months by suitably reducing the total monthly payment to be made by the Regional Office/Sub-Regional Office.
- 13.8 The service charges with be claimed in the form prescribed (Annexure-15).
- 13.9 To arrange for transfer of Pension Payment Orders as explained in para 22 .1.
- 13.10 To supply monthly bank statement to the Regional Office/Sub-Regional Office by 15th of each month.
- 13.11 To liasion with Regional Office/Sub-Regional Office through a nominated Officer so as to ensure proper reconciliation of receipt and payments.
- 13.12 Wherever the pension is ceased in respect of a Pension Payment Order, the PPO and other documents as received from paying branch to be returned to the Regional office/Sub-Regional Office for cancellation and record.
- 13.13 The undisbursed amount of pension, excess pension amount paid, erroneous excess payment, etc. should only be adjusted in the future due from Employees' Provident Fund Organisation. As such, no money should be refunded by way of cheque/Demand Draft etc. This holds good both for link as well as paying branches.

The link branch should advise the paying branches not to deal directly with the Employees' Provident Fund Organisation for monitory and other transactions relating to pension payment.

CHAPTER - 14

DUTIES AND FUNCTIONS OF PAYING BRANCH

- 14.1 On receipt of Pension Payment Order from the link branch, the paying branch should enter the same in the register of Pension Payment Order kept with them. Simultaneously the Bank will address the pensioner through a letter (Annexure No. 7) advising him/her to appear at the branch alongwith the documents mentioned therein for the purpose of identification.
- 14.2 In the case of physically handicapped pensioner, who is unable to present himself/herself at the paying branch, the requirement of personal appearance shall be waived. Instead, the Officer-in-charge/Branch Manager/the designated Officer may visit the pensioner's residence/hospital for the purpose of identification and obtain specimen signatures etc. For this purpose, the pensioner shall submit to the paying branch, a certificate from a Registered Medical Practitioner about his/her being physically handicapped.
- 14.3 Before commencement of pension, the paying branch shall obtain in the case of a new pensioner, specimen signatures or the thumb impression as the case may be, in the space provided for the purpose in the disburser's portion of the Pension Payment Order and handover the pensioner's portion of the Pension Payment Order to him/her after proper identification and obtain acknowledgement. The paying branch shall obtain and affix the photograph of the pensioner, wherever necessary, duly forwarding a copy to Regional Office/Sub-regional Office.
- 14.4 The paying branch shall obtain an undertaking (Annexure No. 9) from the pensioner that excess payment, if any, credited to him/her account, due to delay in receipt of any material information or due to any bonafide error, can be recovered by the Bank.
- 14.5 On the first appearance of a pensioner at the paying branch, the designated Officer of the Branch will satisfy himself about the identification of a pensioner by ensuring that :-
- a) the personal identification marks, if any, on the face or/and hand of the pensioner given in the disburser's portion of the Pension Payment Order have been checked.
 - b) the pensioner has produced his/her personal copy of the intimation received directly from the authority issuing the Pension Payment Order or any other documentary proof establishing his/her identity as pensioner.
 - c) the pensioner bears a close resemblance with the photograph as affixed on the disburser's portion of the Pension Payment Order.
 - d) the pensioner's specimen signatures or thumb and fingers/great toe impressions, as the case may be, to be obtained by him in the space provided for the purpose in the disburser's portion of the Pension Payment Order agree with the attested signatures or thumb/and fingers/ great toe impressions received with the Pension Payment Order; and
 - e) in cases where it is not possible to comply with the requirement at (d) above due to the pensioner being handicapped, his/her identity may be verified with reference to (a) to (c) above.
 - f) In case of temporary inability to appear in person in consequence of the pensioner's bodily illness or infirmity, verification may be carried out as above, as soon as the pensioner recovers from illness.
- 14.6 The personal identification of the pensioner as prescribed in the preceding paragraphs, will be only for the first payment of pension at the paying branch.
- 14.7. The disburser's portion of the Pension Payment Order shall be placed in serial order in a separate file for "The Employees' Pension Scheme, 1995", which must be kept in the personal custody of the authorised Officer of the paying branch. The Pensioners' portion of the PPO should be handed over to the Pensioner after obtaining the acknowledgement.

- 14.8 No bill shall be required to be submitted by the pensioner for drawing pension at the paying branch. Pension will be paid by the paying branch, after deducting Income tax, by credit to the Savings Bank Account of the pensioner with the paying branch. Pension will not be paid in cash or through a joint account with or without either or survivor account.
- 14.9 The paying branch shall credit the net amount of pension payable to the pensioner on due date.
- 14.10 The paying branch will be responsible for deduction of income tax at source from pension payment in accordance with the rate prescribed from time to time. The paying branch will issue to the pensioner in April each year a certificate of tax deducted in the form prescribed in the Income Tax Rules. The paying branch will also issue certificate of income from pension to the pensioner in the form as above with necessary modification even in cases where no income tax is deducted at source, if the pensioner applies for such a certificate in writing.
- 14.11 The paying branch will receive a statement by 23rd of each month for the pension due for disbursement in the ensuing month Annexure no. 3. This Statement should be verified with the respective Pension Payment Orders (disburser's portion) in regard to eligibility and amount.
- 14.12 After disbursement, the paying branches should return triplicate copies of the Monthly Pension Statement to the link branch, duly completed, interalia indicating the details of amount excess/short paid, death/remarriage etc. to link branch, retaining original copy for their files.
- 14.13 Every payment shall also be entered on the disburser's portion of the pension payment order and authenticated by the authorised officers of the paying branch.
- 14.14 In case pensioner desires payment through another branch, the Pension Payment Order alongwith the application should be returned to the link branch for follow-up action.
- 14.15 As and when no payment is due in respect of a Pension Payment Order, the entire documents alongwith PPO should be returned to the link branch for onward transmission to Regional Office/Sub-Regional Office.
- 14.16 As and when a pension is passed on to the next eligible person, the paying branch should intimate the pensioner and obtain requisite documents. Simultaneously, the pension actually due as per Pension Payment Order should be credited to the newly opened Savings Bank account in the name of concerned pensioner. The fact of such payment should be reported to link branch seeking reimbursement of the amount of pension actually disbursed.
- 14.17 In case there is any change in pension payments in any particular month as compared to the pension payment of preceding month, for any reason, the paying branch will make a notation 'Change' (preferably in red ink) alongwith suitable reasons in the Remarks Column of the payment scroll for that month against the affected entry. If in any particular case, pension payment has been stopped entirely for reasons of death of a pensioner or non-submission of any certificate or transfer of pension account to any other pension paying point, etc. the relevant particulars of the PPO as appearing in the previous statement are to be included in the statement of the month in which change has taken place. However, the amount column therein may be left blank with a notation 'Change' giving suitable reasons against the affected entry. Further, a certificate of having made the remarks of 'Change' on the statement may also be appended at the end of the statement itself.
- 14.18 Whenever there is change in the basic rates of pension, the paying branch shall call back the pensioner's half of the Pension Payment Order and record thereon the changes, indicating, inter-alia, the date(s) from which the changes are effective. After this is done, those halves will be returned to the pensioners.
- 14.19 The date of commencement, cessation and reduced pension etc. shall be kept noted prominently in red ink in the pensioners ledger account, so as to avoid over payment.

CHATER 15

PAYMENT OF COMMUTED VALUE OF PENSION

- 15.1 In addition to normal pension, wherever one time commuted value of pension is payable and the same is not found recorded in the Pension Payment Order, the Paying Branch will ensure the receipt of necessary sanction of Asst. Provident Fund Commissioner and inclusive of the same in the statement from the RO/SRO for giving necessary credit to the S.B. Account of Member Pensioner after making necessary record of such payment and also the quantum of reduced pension payable thereafter and the effective date in the Pension Payment Order.
- 15.2 Wherever the payment of commuted value is indicated in the Pension Payment Order, the same may be paid by Paying Branch after verifying the statement received from Link Branch.
- 15.3 Commutation of Pension is effective from 16.11.98.

CHAPTER-16

PAYMENT OR RETURN OF CAPITAL

- 16.1 Return of capital is payable to the member-pensioner or to his/her nominee only. This depends on the option exercised by the member and the specific authorisation given in the Pension Payment Order. Accordingly, it is payable as and when falls due, on any one of the following contingencies,
- (a) On death of the Member Pensioner;
 - (b) On death/remarriage of widow/widower;
 - (c) At the end of 20 years from the date of commencement of pension to the member/nominee.
- 16.2 Wherever return of capital is payable to the nominee, the concerned person should be intimated and verify the documents such as pensioner's portion of Pension Payment Order, identified by a Gazetted Officer or by any responsible person acceptable to Bank, Savings Bank Account No. etc.
- 16.3 The Return of Capital should be released on receipt of the statement from Link Branch and after due verification of Pension Payment Order by credit to the S.B. A/c of the beneficiary.

CHAPTER - 17

REVISION OF PENSION

- 17.1 In cases where the amount of pension payable is revised, payments at the revised rate including arrears, if any, may be arranged in the following manner:—
- (a) On receipt of a communication from the authorised officer from Regional Office/Sub-Regional Office of Employees' Provident Fund Organisation the Paying Branch will carry out the requisite correction on both the halves of the Pension Payment Orders, under attestation by the Branch Manager, quoting thereon the authority of Employees Provident Fund Organisation. The Pensioner's half of the Pension Payment Order will be obtained by the Paying Branch from pensioner for making these corrections. Simultaneously, a note to the effect that necessary corrections have been made in both the halves of the Pension Payment Orders will also be made on the amendment letter of the Employees Provident Fund Organisation.
- 17.2 As soon as the communication for revision of Pension is received from the Link Branch duly supported by the statement the payment has to be effected from the date mentioned in the statement including payment of arrears, if any.

CHAPTER - 18

ARREARS OF PENSION

- 18.1 In cases other than those in which arrears of pension arise due to the death of a pensioner, if the pension has not been credited by the bank to the account of a pensioner for any reason for a period exceeding one year, as for example, for want of a Life Certificate, details thereof and reasons for not crediting the pension, if known, shall be communicated to the Regional Office/Sub-Regional Office through the Link Branch by means of a report sent half-yearly on 1st April and 1st October each year.
- 18.2 The arrears on the above account shall be paid by the Paying Branch only on receipt of sanction of the Regional Office/Sub-Regional Office.
- 18.3 If, in such cases, pension has not been credited to the account of the pensioner for a period of 3 years, the disburser's portion of the Pension Payment Order should also be returned to the RO/SRO through the Link Branch, with suitable endorsement thereon, specifying the date up to which the pension was credited in the pensioner's account. Payment of arrears in such case will be made as also payment of current pension returned by the paying branch only on receipt back of the Pension Payment Order with a sanction of the competent authority in Regional Office/Sub-Regional Office.

CHAPTER - 19

ARREARS OF PENSION ON THE DEATH OF PENSIONER AND MANNER OF DISPOSAL OF SUCH PENSION PAYMENT ORDER

- 19.1 Pension shall be drawn for the day of the pensioner's death irrespective of the time of death. On receipt of a death certificate in respect of pensioner, the paying branch will work out the amount of arrears due to the deceased or overpayment, if any, made to him. It will take action immediately to recover the overpayment from the deceased's account in terms of the undertaking obtained by the paying branch from the pensioner at the time of commencement of pension. Payment of arrears will be made to the heir(s) of the deceased pensioner, if the deceased pensioner had not submitted any nomination. In case a valid nomination by the deceased pensioner exists, payment will be made to the nominee in accordance with the nomination. However, for payment of arrears to the heir(s) of the deceased pensioner, the Bank after furnishing information regarding the date of pensioner's death, amount of arrears due in respect of the deceased pensioner and particulars of claimant(s) claiming payment, and the authority, if any, in which their is based, will seek instructions of the Regional Office/ Sub-Regional Office.
- 19.2 For payment of arears to the nominee, he/she will be asked to apply for the same to the paying branch along with the pensioner's half of the Pension Payment Order and a receipt (duly stamped where necessary) for the amount, setting forth the period of arrears. The paying branch, after verifying the fact that the payment is actually due to the deceased pensioner, and also the particulars of the nominee as given in the nomination, will make payment by a Bank Pay Order and made a suitable note on both the halves of the Pension Payment Order. The receipt of the nominee will be enclosed by the paying branch with the relevant payment scroll while claiming reimbursement through Link Branch.
- 19.3 The paying branch will enter the date of death of the pensioner in the disburser's portion of the Pension Payment Order as well as pensioner's portion and in the register of pension. The pensioner's half of Pension Payment Order will then be returned to the nominee.

Note :— *The provisions will apply mutatis mutandis to cases where the family pension ceases to be payable either due to death of the family pensioner, his/her re-marriage/on the pensioner attaining the maximum age prescribed in the Scheme.*

CHAPTER - 20

FAMILY PENSION

- 20.1 The Pension Payment order indicate the entitlement in respect of family pension to the widow/widower/ children in the event of death of the pensioner. The payment of family pension at the rate, and to the persons indicated in the Pension Payment order may be commenced by the Paying branch on receipt of a death certificate. Before, however, the payment is actually commenced, the identity of the spouse entitled to family pension shall be verified with reference to the joint photograph and other particulars given in the original Pension Payment order retained in the paying branch.
- 20.2 Apart from widow/widower, two eligible children at a time will also be paid pension. The particulars of children as contained in the Pension Payment Order should be verified before commencement of children pension.
- 20.3 Payment of family pension will be made separately to each eligible pensioner by credit to their Saving Bank Account (not a 'joint' or 'either or survivor' Account). Additionally, an undertaking similar to the one of Annexure 9 will be obtained by the Paying Branch from the recipient before payment of family pension is commenced.
- 20.4 The Paying Branch will also advise the Employees' Provident Fund Organisation through the Link Branch, the date of pensioner's death and commencement of payment of family pension for keeping the necessary note in their records.
- 20.5 In case the report about the death of a pensioner is received by Paying Branch first, from a source other than the widow or widower of the deceased, the Manger shall after satisfying himself about the correctness of the report write to the family members as in Annexure No. 10 at the address given in the Pension Payment Order, seeking compliance with the prescribed formalities, so that payment of family pension to the entitled person(s) is commenced early.

CHAPTER - 21

PAYMENT OF PENSION TO NON-RESIDENTS

- 21.1 The Bank may credit the pension amount of a non-resident to a Non-Resident (Ordinary) account opened/maintained as per provision of the Exchange Control. The amount of pension of a pensioner who has become non-resident may be credited to the said account after ensuring the personal identification and other requirements as stipulated under the Scheme.
- 21.2 In case of the existing accounts, the pensioner should intimate the fact that he has become non-resident Indian and the paying branch in India should convert the account of the pensioner to Non-Resident Ordinary (NRO) Account.
- 21.3 The pensioner has to furnish the life certificate issued by an authorised Official of the Embassy/High Commission of India or Consul of Indian Consultants or a Notary Public or an Officer of an Indian Public Sector Bank attached to its branch in the country where the pensioner is residing, once in a year in November.
- 21.4 The pensioner has to furnish a certificate of non-remarriage certificate.
- 21.5 The paying branch will credit the amount of pension due every month to the Non-Resident Ordinary Account of the pensioner.
- 21.6 Withdrawals from the Non-Resident Ordinary Account will be governed by the instructions contained in the Exchange Control Manual and the paying branch should allow the withdrawals accordingly.
- 21.7 Pension credited to the pensioner's Non-Resident Ordinary Account will not be allowed to be repatriated abroad.
- 21.8 The paying branch should return Pension Payment Orders of such Non-Resident Indian pensioners who are drawing pension from them and are unable to furnish the prescribed life certificate to the pension sanctioning authority for arranging future payments to them.
- 21.9 The change in the citizenship by any Non-Resident Indian pensioner will not affect his/her entitlement to the pension.

CHAPTER - 22

PROCEDURE FOR TRANSFER OF PENSION PAYMENT FROM ONE BRANCH/BANK TO ANOTHER

- 22.1. Applications for transfer of pension may fall under any of the following categories:—
- (i) Transfer from the Paying Branch to another branch falling within the same Link Branch;
 - (ii) Transfer from one Link Branch jurisdiction to another of the same Bank (such transfers to be allowed only once in a financial year); and
 - (iii) Transfer from one Bank to another Bank at same or different station.
- 22.2. Request falling under category (i) above may be entertained by the Link Branch itself. Necessary intimation of effecting such transfer (Annex. 11) will be sent to Regional/Sub-Regional Office for keeping a note of change in their records and also to the pensioner on receipt of pension documents, the receiving Link Branch will ensure, forwarding the Pension Payment Order to the Paying Branch within 3 days and intimate the pensioner simultaneously.
- 22.3. In cases falling under categories (ii) and (iii) above, the pensioner shall be asked to return his own half of the Pension Payment Order to the Paying Branch, which will then return, through its Link Branch, both the portions of the Pension Payment Order to Regional Office/Sub-Regional Office, indicating the month up to which pension payment has already been made. The Regional Office/Sub-Regional Office will transmit the documents to the concerned RO/SRO in whose jurisdiction Link Branch/another Bank exists under intimation to the Pensioner. The RO/SRO concerned will then forward the PPO with appropriate endorsement thereon, to the link branch for payment of pension through the Paying Branch concerned, under intimation to the pensioner, duly observing the laid down procedure.
- 22.4. To avoid the risk of overpayment at the time of transfer, the following certificate may be recorded on the Pension Payment Order by the Paying Branch—
- "Certified that payment of pension has been made up to the month of and that the Pension Payment order consists of Continuation sheets for recording disbursement."
- 22.5. Except as provided above, the transfer of a pension from one payment point to another will not, ordinarily, be permitted.

CHAPTER - 23

CERTIFICATES TO BE FURNISHED BY THE PENSIONERS

23.1 Life Certificate

The pensioner would be required to furnish a life certificate in November each year in the form prescribed in Annexure 12(I). The public sector banks are authorised to issue this certificate.

23.2 Non-Marriage/Non-re-marriage certificate

In the case of widow/widower recipient family pension, the certificate of non-remarriage in the form prescribed in Annexure 12(II) is required to be furnished by the recipient, at yearly intervals i.e. in November.

23.3

The Certificates mentioned above required to be submitted, in duplicate, by the concerned pensioner to the Paying Branch and the Paying Branch will retain one copy of the certificate with the Pension Payment Order concerned and forward the second copy to the Regional Office/Sub-Regional Office concerned of Employees' Provident Fund Organisation.

CHAPTER - 24
FACILITIES TO PENSIONERS IN OPERATING SAVINGS
BANK ACCOUNT FOR PENSION

24.1

The pensioners are eligible to avail the facility of cheque book and also to issue standing instructions as contained in Annexure No. 13.

CHAPTER - 25

GENERAL PROCEDURE

25.1

Wherever the Scheme as explained in this booklet does not contain any procedure or inadequacy otherwise, the procedure existing under the Scheme for payment of Pension to Central Government Civil Pensioners for issue of Pension Payment Order, monthly automatic crediting of pension, automatic commencement of Family Pension, Payment of arrears of Pension to Nominee and submission of the requisite certificates, etc., can be made applicable for the Pension Payments under the Employees' Pension Scheme, 1995 as well.

CHAPTER - 26

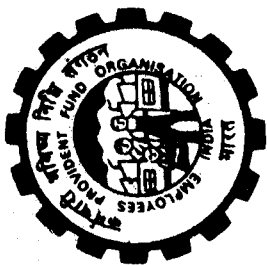
POST PAYMENT CHECKS.

- 26.1 The Regional Office/Sub-Regional Office will be responsible for accountal of pensions including family pensions to Pensioners and their families and will also conduct post-check of payments through the computer system and any irregularities noticed during the course of the post-check will be communicated to the Paying Branch, who will be responsible for carrying out necessary rectification. In cases where the banks find that instructions received through Pension Payment Order/amendment letters to Pension Payment Order/revision/relief are found to be vague or liable to different interpretations, the Link Branches/Paying Branches may seek the advice of the Regional Office/Sub-Regional Office through the quickest mode of communication so as to avoid inconvenience to the pensioners in crediting the amount to their accounts promptly.
- 26.2. The concerned Accountant General (Audit) will conduct audit of pensionary payments in such manner and to such an extent as the Comptroller and Auditor-General of India may prescribe from time to time. The accounts, records and registers maintained in the Paying Branches making pension payments and also in the Link Branches shall be open to audit by the Comptroller and Auditor-General of India or any person appointed by Employees' Provident Fund Organisation.

ANNEXURES

REGIONWISE LIST OF NATIONALISED BANKS FOR
DISBURSEMENT OF PENSION UNDER
EMPLOYEES' PENSION SCHEME, 1995

S.NO.	NAME OF THE REGION	NAME OF THE NATIONALISED	
		BANK/S	II
1.	Andhra Pradesh	Andhra Bank and SBI	
2.	Bihar	Punjab National Bank	
3.	Delhi	Punjab National Bank and SBI	
4.	Gujarat	Dena Bank and SBI	
5.	Haryana	Punjab National Bank and SBI	
6.	Kerala	Canara Bank and SBI	
7.	Karnataka	Canara Bank	
8.	Maharashtra	Bank of India and PNB	
9.	Madhya Pradesh	Punjab National Bank and SBI	
10.	North Eastern Region (Assam)	Punjab National Bank and SBI	
11.	Orissa	Bank of India and SBI	
12.	Punjab	Punjab National Bank	
13.	Rajasthan	State Bank of Bikaner and Jaipur and PNB	
14.	Tamil Nadu	Indian Bank and SBI	
15.	Uttar Pradesh	Punjab National Bank and SBI	
16.	West Bengal	Punjab National Bank, United Bank of India.	



ANNEXURE - 2

EMPLOYEES' PENSION SCHEME, 1995
PENSION PAYMENT ORDER
(Disburser's / Pensioner's Portion)

Authorisation

Until further notice, on due date, be pleased to pay the Pensionery Benefits, as authorised hereunder, after due identification of pensioner adhering to the procedure set out in the Scheme on Disbursement of Pension under EPS '95 through Nationalised Bank.

Date :

Seal :

Signature of

Assistant PF Commissioner/
Pension Paying Authority

Pension Payment Order No. :

Name of the member :

Father's/Husband's Name :

Address :

Paying Branch/Bank :

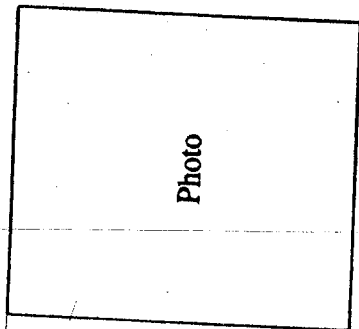
Savings Bank A/c No. :

(Code)

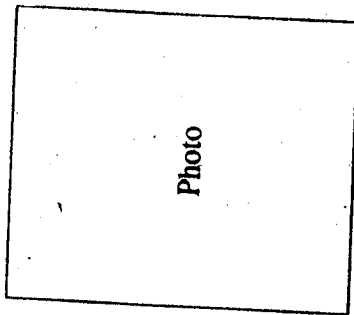
To

Bank

Branch



Photo



Photo

Personal identification marks of the Pensioner

1.

2.

Signature of Pensioner/

L.T.I./R.T.I.

LIST OF FAMILY MEMBERS : (in case of Disabled - indicate 'D' below the name)

Sl. No.	Name and address	Relationship with the member	Date of Birth Age	Guardian	
				Name	Relationship
(1)	(2)	(3)	(4)	(5)	(6)
For return of Capital only					

BENEFITS OTHER THAN MONTHLY PENSION :

Nature of Payment (1)	Code (2)	Amount due (3)	Due on (4)	Payable to (5)	Paid on (6)
Commuted value of Pension					
Return of Capital					

MONTHLY PENSION - TO MEMBER :

Class of Pension (Code)	Entitlement	Amount	Date of commencement	Date of cessation*
	Normal Pension			
	Reduced Pension			
* 1.	Upto remarriage/death.			

2. Where the member opted for return of capital with option 3, the nominee is eligible for reduced pension for 20 years from commencement of pension to the member or till his death whichever is earlier.

FAMILY PENSION :

Sl. No. (1)	Class of Pension (2)	Code (3)	Name (4)	Pension payable (5)	Amount (6)	Date of commencement (7)	Date of cessation (8)
1. (a)	Widow/ Widower			*Enhanced			
(b)	Nominee			Normal			
2.	Child-I			Normal **Enhanced			
	Child-II			Normal **Enhanced			

* The enhanced Family Pension is on account of Employees' Family Pension Scheme, 1971 or the one related to pension due under para 13(2) (Option2).

** In case of Orphan Pension.

EMPLOYEES' PROVIDENT FUND ORGANISATION
REGIONAL/SUB-REGIONAL OFFICE

Annexure 3
(Para 10.1 & 11.4)

NAME OF THE PAYING BRANCH/BRANCH CODE :

FOR THE MONTH :

MONTHLY STATEMENT OF PENSION PAYMENTS
RECONCILIATION OF BANK ACCOUNTS
(To be submitted to the bank in triplicate)

S.No.	PPO No.	Name of Pensioner/beneficiary	SBA/C No.	Class of Pension	Monthly Amt. of pension.	a. Arrears of pension b. Commutation c. Arrears of Relief d. Return of Capital. e.	Total (Col.6+7)	For use of Bank Date of Dt. Credit credit Commutation/ excess/ Pension Return of short Capital/Arr. paid Pension/Arr. Pension Relief	Remarks Indicate
(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(11)

Class of Pension : S-Superannuation, R-Retirement, W-Widow, C-Children, O-Orphan, N-Nominee, P-Permanent Disablement

Total amount disbursed by the Paying Branch Rs. _____

H.C./A.A.O./A.P.F.C.

Branch Manager
Paying Branch

By Special Messenger

To

The Manager
Link Branch _____

Sub. :- Forwarding of list of Pension Payment Orders for
the month of _____.

Sir,

I am forwarding herewith the following documents for disbursement of Pension as per the existing banking arrangements :

- a) Pension Payment Orders (Disburser's & Pensioner's portion) alongwith a letter addressed to the Paying Branch.
- b) Monthly Statement of Pension amounts for the month, Paying Branch wise, in triplicate.
- c) Account Payee Cheque No. _____ date for Rs.

Please acknowledge receipt.

Encl. : As above.

Yours faithfully,

()
ASSISTANT PROVIDENT FUND COMMISSIONER
(PENSION)

SUMMARY SHEET OF ALL THE PAYING BRANCHES (IN DUPLICATE)

S.No.	Paying Branch	No. of PPOs	Amount of Pension	Arrears of Pension	Commutation	Arrears of relief	ROC	Total Actual amount (5a + disbursed by 5e)	Paying Branch
(1)	(2)	(3)	(4)	(5a)	(5b)	(5c)	(5d) 5(e) (6)	(7)	

1.	Total of Column 4 & 5 (a to e).	Rs. : _____
2.	Less Balance in S.B. A/C with Link Branch	Rs. : _____
3.	Net amount to be deposited	Rs. : _____

Issued through Cheque No. _____ Dt. _____ for Rs. : _____

S.S./A.A.O/A.P.F.C.

For use of Bank

1. Certified that out of the amount mentioned under Col. 4 & 5 above (Col. 6&7) of Paying Branch statements a sum of Rs. _____ have been credited to the Pension accounts on the date mentioned against each beneficiary is shown in the Paying Branch wise list. Accordingly actual amount of Pension disbursed as per Col. 6 has been debited to the EPFO's Pension Account.

2. Balance in SB A/C maintained in Link Branch as on _____ Rs. _____
Place _____ Date _____

Branch Manger,
Link Branch

RO/SRO : _____

EPFO

ANNEXURE - 6
(Para 11.2)

Ref. No. _____

Date : _____

To
The Manager

(Pension paying Branch)

Through : _____ - Link Branch

Sir,

Sub. : Payment of Pension under Employees' Pension Scheme 1995 -
Forwarding of Pension Payment Order.
-oOo-

The Pension Payment Order (Pensioner's & Disburser's portion) in respect of the pensioner named below is forwarded herewith alongwith the following documents :-

- a) Specimen signature of Pensioner, duly attested;
- b) Left hand thumb impression of the Pensioner;
- c) Joint photograph of the Pensioner and his/her spouse.

2. On satisfying the identity of pensioner and after obtaining the signature on the disburser's portion of Pension Payment Order please hand over the pensioner's portion of the PPO to the pensioner.

3. As per the arrangement entered into with your Bank, please arrange to disburse the pension as per the Pension Payment Order. The pension is required to be credited to the S.B. Account of the pensioner on the last working day of every month.

Details of Pensioner :

Member's PF
A/c No. _____
Name of the
member _____

PPO No. _____
Pensioner's name _____
Pension to be credited to S.B. A/c No.: _____
Amount of Pension Payable Rs. _____
With effect from _____

Encl : As in Para 1 above

Yours faithfully,

SEAL

ASSISTANT PROVIDENT FUND COMMISSIONER
(PENSION)
(P.T.O.)

Copy to :

1. Smt./Sri. _____

He/she is advised to contact the above addressee in person on or after 1st of the next month to receive the first pension and to collect the Pensioner's portion of the PPO.

2. The Regional PF Commissioner

_____ with reference to his letter No. _____
dated _____

3. The Assistant PF Commissioner (Accts.)

Section No. :

Regional Office/Sub-Regional Office

_____ with a request to make necessary record on release of pension in Ledger Card and in Form - 9 (Revised) and Form-3 (FPF).

4. M/s _____

_____ For information

ASSISTANT PROVIDENT FUND COMMISSIONER
(PENSION)

Paying Branch _____

Code _____

Address _____

No. _____

Date : _____

To _____

Shri/Smt. _____

Sub. : Employees' Pension Scheme 1995 - Payment of
Pension - Intimation for appearance.

Sir/Madam,

Your pension papers including pensioner's half of Pension Payment Order have been received from Employees' Provident Fund Organisation in this Branch. You are requested to call urgently at this Branch for personal identification and bring with you the following documents on any working day between _____ to _____

- (i) Personal copy of the letter issued by the Regional Provident Fund Commissioner.
- (ii) In the case of deceased member pensioner, certificate of non-re-marriage of widow/widower.
- (iii) Undertaking for refund of excess amount (if any) overpaid, in form enclosed.
- (iv)
- (v)

- ⊗ 2. Your photo has not been received alongwith PPO. You are requested to bring with you a photograph of children joint passport size photo of yourself and your spouse.
- 3. You are also required to open a saving account in your name (not 'Joint' or either or 'survivor' account) with this branch unless you are already having one. For this purpose, the requisite forms for opening a new account are also enclosed.

Yours faithfully,

(Manager/Branch-in-Charge)

⊗ Delete, if not applicable.

ANNEXURE - 8
(Para - 13.3)

EMPLOYEES' PENSION SCHEME 1995

INDEX REGISTER OF PENSION PAYMENTS AUTHORISED BY REGIONAL OFFICE/SUB-REGIONAL OFFICE

Name of the Pensioner	Number of the pension payment Order, (PPO)	Monthly amount of pension (basic pension and relief to be shown separately)	Branch at which the payment is to be made	Date from which pension payment will commence	Remarks
(1)	(2)	(3)	(4)	(5)	(6)

1.

2.

3.

Note :- Each entry should be attested by the nominated Officer of the Link Branch of the Public Sector Bank. (Additional entries may be provided under Reserve Bank's instructions/Regional Office/Sub-Regional Office of Employees' Provident Fund Organisation)

SPECIMEN OF LETTER OF UNDERTAKING

The Branch Manager

_____ Bank (Bank's Name)

_____ Branch (Branch's Name)

Dear Sir,

Employees' Pension Scheme 1995 -
Payment of pension under P.P.O. NO. _____
Through your Office.
-o0o-

In consideration of your having, at my request, agreed to make payment of pension due to me every month by credit to my account with your bank. I, the undersigned, agree and undertake to refund or make good any amount to which may be credited to my account in excess of the amount to which I am or would be entitled. I further hereby undertake and agree to bind myself and my heirs, successors, executors and administrators to indemnify the bank from and against any loss, suffered or incurred by the bank in so crediting my pension to my account under the Scheme and to forthwith pay the same to the bank and also irrevocably authorise the bank to recover the amount due by debit to my said account or any other account/deposits belonging to me in the possession of the bank.

Yours faithfully,

Signature :
Name :
Address :

Date :

Witness :

(I) Signature

Name

Address

(II) Signature

Name

Address

Letter of intimation to beneficiary

Bank

Branch

Dated : _____

No. _____

To

Smt./Shri. _____

Subject : Claim for Family Pension under
Employees' Pension Scheme, 1995.
* * * *

Dear Madam/Sir,

*It is understood that Shri/Smt. _____ holder of
P.P.O. No. _____ has since died.

OR

*Please refer to your letter No. _____ dated _____
claiming Family Pension after the death of Shri/Smt. _____
pensioner, holder of P.P.O. No. _____

You are accordingly, requested to call at _____ branch of the bank
of any working day between _____ to _____ for personal
identification and completion of formalities before payment of family pension is
commenced.

2. You are also requested to furnish to this Bank the documents (forms enclosed)
mentioned below :

- (i) Certificate of non-remarriage/(non-remarriage certificate for
widow/widower family pensioner).
- (ii) Undertaking for refunding excess amount, if any paid after
commencement of payment of family pension, in form enclosed.

3. You are also requested to bring with you the following :-

- (i) Death Certificate of Shri/Smt. _____ deceased
pensioner.
- (ii) Pension payment Order (Pensioner's half).
- (iii) Pass Book in case you have already a bank account with the above
mentioned branch in your name.

Yours faithfully,

Manger
Branch
Bank

* Delete whichever is not applicable

ANNEXURE - 11
(Para 22.2)
(to be filled in duplicate)

TRANSFER APPLICATION FOR CHANGE OF PENSION PAYMENT FROM ONE BRANCH TO ANOTHER
FALLING WITHIN OR OUTSIDE THE LINK BRANCH OF THE BANK OR TO OTHER BANKS.

P.P.O No. and date	Name of the Pensioner	Existing Link Br. and Code No.	Name of the Link Br. through which payment is desired and Code No.	Existing paying Branch and	Name of paying Branch through which payment is desired and Code No.
(1)	(2)	(3)	(4)	(5)	(6)

43

To
The Regional PF Commissioner
Regional Office/Sub-Regional Office
through the present link branch
for followup action.

(Signature of Manager with Seal)

ANNEXURE - 12 - I
(Para - 23.1)

CERTIFICATE TO BE SUBMITTED BY PENSIONER

1. LIFE CERTIFICATE

Certified that I have seen the pensioner _____ (Name of the pensioner) holder of Pension Payment Order No. _____ and that he is alive on this date.

Signature/Thumb impression
of pensioner

Place :

Name _____

Date :

Designation of authorised Officer

Seal. _____

ANNEXURE - 12 - II

II. CERTIFICATE OF NON-RE-MARRIAGE

*I hereby declare that I have not been re-married and I undertake to report such an event promptly to the Pension Disbursing Authority/Bank.

Place :

Signature _____

Date :

Name of the Pensioner _____

P.P.O. No. _____

I certify to the best of my knowledge and belief that the above declaration is correct.

Signature of a responsible
Officer or a well-known

Place :

Person _____

Date :

Name _____

Designation _____

S.B. ACCOUNT—FACILITIES

An extract of Instructions issued by R.B.I. to the Managing Directors of State Bank of India and its Associate Banks and General Managers of Nationalised banks in Connection with the extension of facility of allowing Cheque Books and acceptance of standing instructions for transfer of funds from the accounts of Central Civil Pensioners drawing pension under the Scheme for payment of Pensions through Public Sector Banks is reproduced below:—

- (i) **ACCEPTANCE OF STANDING INSTRUCTIONS FROM THE PENSIONER:—**The matter has been examined by us in consultation with the Government of India, Ministry of Finance, who have advised that acceptance of standing instructions for transfer of funds, etc., from the pensioner's accounts would not be inconsistent with the scheme and that they see no objection to public sector banks dealing with such requests from pensioners at their discretion. In exercising such discretion banks may bear in mind the fact that in view of the bonds of indemnity executed by them under the scheme, they will have to compensate the Government in respect of any payment or wrong payment.
- (ii) **EXTENDING CHEQUE BOOK FACILITY TO PENSIONERS:—**
 - (a) Once the amount of pension and/or other pensionary benefit is credited to a pensioner's individual savings/current account, all the operations in the account will be governed by general banking rules and practices. Therefore, withdrawals from the account can be permitted by means of cheque/withdrawal slip as in the case of other account holders. Request for issue of cheque book from the pensioners may therefore be considered by banks on merit of each case and subject to the rules and regulations framed by individual bank in this regard. We feel that withdrawal by means of cheque, if permitted will be of immense help to old pensioners.
 - (b) It is also not necessary to make it compulsory for a pensioner to come personally to bank's office to withdraw the amount of his pension every month, when other account holders have the option to withdraw money from their accounts by means of withdrawals slip/cheques through bearer.

(Authority R.B.I. (Central Office) Ref. GA, NB. No. 333/GA 64 (11-CVL-Misc.)/86/87, dated 5th August, 1986.)

**AGREEMENT REGARDING DISBURSEMENT OF PENSION SCHEME
UNDER THE EMPLOYEES' PENSION SCHEME-1995.**

This agreement entered into between (1) The Central Board of Trustees of Employee's provident Fund acting through the Regional Provident Fund Commissioner, _____

and (2) The _____ Bank a body corporate constituted under Banking Companies (Acquisition and having its Head Office at _____ represented by _____

WHEREAS the Trustess of the Central Board of Trustees in whom the administration of employees' Pension Fund under the Employee's Pension Scheme, 1995 vests, are to make arrangement for disbursement of Pension under the said scheme; WHEREAS the Trustees requested the Bank to take up disbursement of pension in accordance with the applicable provisions of the Employees' Pension Scheme, 1995 and the notifications thereunder; and

WHEREAS the _____ Bank in consideration of the request and promise by the Trustees to remunerate the bank have agreed to take up disbursement of pension under the Employees' Pension scheme with effect from the _____ subject to the parties herein entering into an agreement.

Now this agreement entered into between the parties witnesseth;

- (1) Fund, for the purposes of this agreement shall mean—The monies actually received from the Trustees in the Trustees' Current Account with the Link Branches specified in para (4) for pension disbursement purposes.
- (2) The Trustees declare that the amounts in the account are for disbursement of Pension.
- (3) The Trustees hereby appoint and authorise the _____ Bank to act as their agents, for the purpose of disbursement of pension under the Employees' Pension Scheme 1995.
- (4) These Link Branches where the Trustees Current/S.B.account for depositing the money required for pension disbursement is to be kept in branches situated at _____.
- (5) The Trustees shall place requisite funds for disbursement of pension for the ensuing month in the Current/S.B. Account in the Link Branch 10 days in Advance of the month.
- (6) The Officials form the Regional Office as well as from the Sub-Regional Office who will be nominated by the R.P.F.C., for the Regional offices/Sub-Regional office will authorise payment of Pension under PPO.
- (7) The specimen signature of the Officers authorised will be made available to the Link Branch by the R.P.F.C., well in advance.
- (8) The PPO will be authorised by the nominated Officers and both the copies of the PPO will be sent to the Link Branch through the Regional Office/Sub-Regional Office concerned alongwith all other documents.
- (9) The name of the paying branch from where the payment is required to be made will be indicated in the Pension Payment Order.
- (10) The link branch have to make necessary entries in their records and forward both the copies of the PPO to the paying branch specified by the pensioner within 3 days under intimation to the pensioner.
- (11) On receipt of the documents from the link branch the paying branch shall immediately address the pensioner through a letter advising him to appear at the branch alongwith the documents mentioned therein for the purpose of identification.
- (12) Before commencing payment, the paying branch shall obtain, in the case of new pensioner, specimen

- signature or the thumb impression, as the case may be in the space provided for the purposes in disburser's and pensioner's portion of the PPO and handover the Pensioner's portion of the PPO to him/her after proper identification.
- (13) The paying branch shall also obtain an undertaking from the pensioner that excess payment, if any credited to his or her account due to delay in receipt of any material information or due to any bonafide error, can be recovered by the Bank.
- (14) On the first appearance of a pensioner at the paying branch, the designated office of the Bank will satisfy himself about the identity of the pensioner by ensuring that:—
- (a) the pensioner has produced his/her personal copy of the intimation received directly from the authority issuing the pension payment order or any documentary proof establishing his/her identity, as pensioner.
 - (b) the personal identification marks, if any, in the face or/and hand of the pensioner given in the disburser's portion of the PPO have been checked.
 - (c) the pensioner bears a close resemblance with the photograph as affixed on the disburser's portion of the PPO.
 - (d) the pensioner's specimen signatures or thumb/and fingers/great toe impressions, as the case may be, to be obtained by him in the space provided for the purpose in the disburser's portion of the PPO; agree with the attested signature or thumb/and fingers/great toe impressions received with in PPO; and;
 - (e) in case where it is not possible to comply with the requirement at (d) due to the pensioner being handicapped, his/her identity may be verified with reference to (a) to (c) above.
- (15) The paying branch shall keep the disburser's portion of the PPO in serial order in a separate file for EPF Pensioners, in the personal custody of the authorised officer.
- (16) No bill shall be required to be submitted by the pensioner for drawing pension. Pension will be credited to the Bank account of the Pensioner with the paying branch on the last working day of the month or on a specified date not later than 7th day of the following month to which the pension relates.
- (17) Pension will not be paid in cash or through a joint account with or without either or survivor account;
- (18) The total amount involved in making payment of pension in respect of particular region will be made available to the Bank in respective link branches of the Bank specified in para 4 by Regional Office/ Sub-Regional Office concerned 10 days in advance alongwith the full particulars of the amount to be paid. There may be a list manually prepared or in a floppy after the software is developed by the EPF Organisation in this regard.
- (19) The link branch shall prepare paying branch-wise statements showing the amounts to be disbursed in each paying branch and send it (as per the existing procedure) to the paying branch for ensuring timely credit to the pensioner's account on the date fixed for this purpose.
- (20) The paying branch shall be responsible for deduction of income tax at source from the pension payments in accordance with the rates prescribed from time to time.
- (21) The paying branch shall maintain a detailed record of pension payments made by it from time to time.
- (22) Every payment shall also be entered on the disburser's portion of the PPO and authenticated by the authorised officers of the paying branch.
- (23) The paying branches shall return the monthly pension payment statement indicating inter-alia the details of pension disbursed by them and forward the same to the link branch for debiting the amount in the account specially opened in the link branch by the EPF Organisation.
- (24) The link branch shall furnish to the respective Regional Provident Fund Commissioners of Regional Office/Sub-Regional Offices the total amount of pension credited in the Bank accounts of the pensioner's with full details for entering in the Pension Audit Register before 15th of the month following in which advance paid.

- (25) The balance, if any in the account after disbursement of the pension in a particular month will be adjusted in future months by suitably reducing the total monthly payment to be made to the Bank.
- (26) The Bank shall exercise its functions with adequate care, caution and due diligence and shall be liable for any loss or damages occasioned as a result of fraud or gross negligence or wilful misconduct and or misdemeanor on the part of its servants.
- (27) The appointment of the Bank as Agent is for one year from _____ and unless notice in writing in advance of sixty days is given by the Trustees. The appointment shall continue from year to year, on the same terms and conditions, subject however, that the remuneration herein agreed is revisable every year on mutual negotiations. The Bank shall be entitled to terminate this agreement by giving to the Trustees a notice specifying the date of such termination, which shall not be less than sixty days after the date of giving such notice.
- (28) The service charges shall be 2.5% of the turn over subject to a ceiling to be decided after mutual negotiations. These rates shall be in force for one year and thereafter the rates shall be revised based on the actual expenditure incurred during the first year mutual negotiation between the Trustees and the Banks, for maintaining current account bank will not charge any service charges.
- (29) The bank shall prepare and maintain such records relating to its activities and obligations under this agreement in such manner as is usual in the course of business and/or as may be agreed between the Trustees and Bank.
- (30) In connection with the operation of this Agreement, the bank and the Trustees may from time to time agree on such provisions interpretative of or in addition to the provisions of this agreement as may, in thier joint opinion, be consistent with the general tenor of the Agreement. Any such interpretative or additional provisions shall be in writing, signed by both the parties and shall be annexed hereto, provided that no such interpretative additional provisions made as provided in the preceding sentence would be deemed to be an amendment of this Agreement.
- (31) If any dispute arises between the parties, the same shall, as far as possible be settled by mutual negotiation and in case of failure of resolution, shall be referred to an arbitration by an arbitrator mutually agreed upon by both the parties.
- (32) Any notice given hereunder shall be in writing and may be served by sending by prè-paid registered post, facsimile or at the electronic transmission or by Courier to the parties.
- (33) It is hereby agreed between the parties hereto that the modalities, procedures, systems or any other aspect relating to such matters shall be in accordance with normal practice and may be fomalised by exchange of letters. In witness whereof each of the parties hereto have signed this agreement at _____ on the _____ day of _____

for and on behalf of the
Central Board of Trustees
of Employees' Provident Fund

for and on behalf of
Bank

Name :

Name :

Designation :

Designation :

Witness :

Witness :

Name :

Name :

Designation :

Designation :

Address :

Address :

Service Charge - Demand from Bank

BANK :

Link Branch : Name/Code

SERVICE CHARGES DUE FROM EMPLOYEES' PROVIDENT FUND OFFICE

FOR THE MONTH OF _____

(To be sent to Regional Office/Sub-Regional Office on or before 15th of each month)

Amount disbursed during the month
as per the Annexure : 3 &
Annexure : 5 (col. 6)

Rs.

(Rupees : _____)

Please pay Service charges @ 2.5% on total
Amount disbursed :

Rs.

Date :

Signature of Manager
Link Branch

Seal :

To

The Regional PF Commissioner
Regional Office/Sub-Regional Office

EMPLOYEES' PROVIDENT FUND ORGANISATION (MINISTRY OF LABOUR) GOVT. OF INDIA

EMPLOYEES' PENSION SCHEME, 1995

LIFE CERTIFICATE AND NON-REMARRIAGE CERTIFICATE

Instructions :

1. The Life Certificate should be furnished in the format given below by all the Pension beneficiaries including children pensioners;
2. Separate Certificate should be given for each pensioner;
3. Certificate may be given by the Manager of the Bank by which the pension is disbursed;
4. Certificate of Non-remarriage given below (Sl. No. II) should be furnished only by the widow/widower receipient of family pension;
5. This certificate should be furnished every year in the month of November;
6. This certificate should be furnished in duplicate.

Name of the Pensioner _____ P.P.O. No. _____
 Bank _____ Branch _____ S.B. A/c No. _____

I. LIFE CERTIFICATE

Certified that I have been the pensioner whose details are given above and that he is alive on this date.

*Signature/Thumb impression of Pensioner
 Guardian of Minor Children Pensioner*

Place :

Date :

Signature of the Manager with Bank Seal

II. CERTIFICATE OF NON-REMARRIAGE

I hereby declare that I have not been re-married and I undertake to report such an event promptly to the pension Disbursing Authority/Bank.

Date :

Signature/Thumb impression of Pensioners

I certify to the best of my knowledge and belief that the above declaration is correct.

Signature of a responsible officer or a well-known person

Place :

Name _____

Date :

Designation _____

(For the use of Disbursing Branch)

Forwarded to Regional PF Commissioner through Link Branch. One copy of the above Certificate is retained.

Place :

Signature of Manager

Date :

Office Seal

(For the use of Regional PF Commissioner's Office)

Entered in the Computer (Bank Reconciliation statement) for updation.

(To be preserved in the PPO file)

D.E.O. (EDP Section)

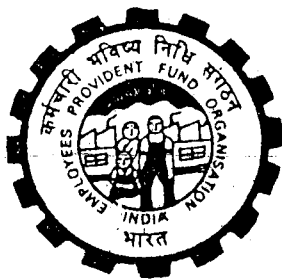
A.A.O. (Pension Section)

For Official Use Only

MANUAL OF ACCOUNTING PROCEDURE

PART-III

EMPLOYEES' PENSION SCHEME, 1995



Employees' Provident Fund Organisation

(Ministry of Labour, Government of India)

Head Office :

Bhavishya Nidhi Bhawan, 14, Bhikaiji Cama Place, New Delhi - 110 066

THE EMPLOYEES' PENSION SCHEME, 1995

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NOTE:- The Paragraphs in the Scheme, other than the above, are dealt with in the Part I / II of this Manual.

INTRODUCTION

1.1.1 Consequent to introduction of the Employees' Pension Scheme, 1995, the need for a working manual is considered essential as the entire operation is aimed at Computer. However, before embarking on the total computerisation and also to meet the requirement of offices that are yet to be equipped with the Computer, the procedure and system of operation of the new Scheme has been attempted to suit the manual operation as well as computerised application.

1.1.2 The Manual of Accounting Procedure (Vol.I - Part -III) on Employees' Family Pension Scheme, 1971, drafted in the year 1982 and updated in the year 1987 may be consulted to deal with the cases that are to be decided under the provision of ceased Employees' Family Pension Scheme, 1971.

1.1.3 The provisions of this Manual should be strictly adhered to for uniform operation in all Regional Offices/Sub-Regional Offices and no deviation in the prescribed procedure should be made without the prior approval of the Central Provident Fund Commissioner. The Audit should ensure this and any departure noticed should be highlighted in their reports.

EMPLOYEES' PENSION SCHEME, 1995**1.2 COMMENCEMENT**

1.2.1 Employees' Provident Fund and Miscellaneous Provisions Act, 1952 has been amended through an Ordinance (13 of 1995) to institute Employees' Pension Scheme for the Provident Fund subscribers. The Ordinance has been replaced by the Employees' Provident Fund and Miscellaneous Provisions (Amendment) Act, 1996 (25th of 1996 dated 16.08.1996) by the Parliament.

1.2.2 The Scheme has come into effect from 16.11.1995. However, the commencement of this Scheme is from 1.4.1993 in respect of certain category of employees. On introduction of Employees' Pension Scheme, 1995, the Employees' Family Pension Scheme, 1971 got merged with the Employees' Pension Scheme, 1995 and it ceased to operate thereafter. However, the details of family of a member furnished through Form 2 under Employees' Family Pension Scheme, 1971/ Employees' Provident Fund Scheme, 1952 and all orders/ authorisation of Pension Payment Orders issued under the ceased Employees' Family

Pension Scheme, 1971 should be deemed to have been issued under the Employees' Pension Scheme, 1995.

1.2.3 Employees' Family Pension Scheme, 1971 provided pension either to the widow/widower or son/daughter only in the case of death of the member, while in service. In other cases, a lumpsum survivorship benefit was provided. Employees' Pension Scheme, 1995 provides for Superannuation Pension, Retirement Pension, Short Service Pension, Permanent and total Disablement Pension to member and Family Pension to widow/widower, Children (including orphan and disabled children) and nominee. In addition, the Employees' Pension Scheme, 1995 also provides for commuted value of Pension and Return of Capital on certain contingencies. Thus, the Employees' Pension Scheme, 1995 provides enlarged benefits when compared to the Employees' Family Pension Scheme, 1971.

1.2.4 Consequent to framing of the Employees' Pension Scheme, 1995 under the Employees' Provident Fund and Miscellaneous Provisions Act, 1952 certain provisions of the Act namely, Definitions (Section 2), Employees' Family Pension Scheme (Section 6A & 6B) and provisions for grant of exemption (Section 17 (1C) and Schedule 3) have been suitably amended.

1.2.5 **EMPLOYEES' PENSION SCHEME, 1995 - PENSION FUND**

The Central Government has framed the Employees' Pension Scheme, 1995 under the provisions of Section 6A of the Employees' Provident Fund and Miscellaneous Provisions Act, 1952. It came into force on 16.11.95. The Pension Scheme may provide for all or any of the matters specified in Schedule III of the Act.

On framing of the Employees' Pension Scheme, 1995, the Pension Fund was set up. The following amount are due to be paid to the Pension Fund.

- (a) 8.1/3% of the basic wages & DA including retaining allowance from the employers share of PF contribution in respect of any employee who is a member of the Pension Scheme, payable by the PF unexempted establishments;
- (b) 8.1/3% of basic wages and DA including retaining allowance from the employer's share of PF of the employees of the establishments, exempted under Section 17 of the Act or under Para 27/27A of the Employees' Provident Fund Scheme, 1952;
- (c) The net assets of the Employees' Family Pension Fund under the Employees' Family Pension Scheme, 1971 as on the date of establishment of the Pension Fund;
- (d) 1.1/6% of basic wages and D.A. including retaining allowance of the members of the Employees' Pension Scheme, 1995 payable by the Central Government after due appropriation by Parliament.

The Pension Fund shall vest in and be administered by the Central Board.

DISPOSAL OF THE FUND:

(1) Subject to the provisions of the Act and the Scheme, the Fund Shall not, except with the prior sanction of the Central Government be expended for any purpose other than the payments envisaged in this Scheme, for continued payment of Family Pension, life assurance benefit and retirement-cum-withdrawal benefit sanctioned under the Employees' Family Pension Scheme, 1971, prior to the date of introduction of this Scheme or which may be sanctioned under that Scheme after the 16th November, 1995 in respect of cases arising before that date.

(2) Not exceeding 16% of the administrative expenses shall be met from and out of the Employees' Pension Fund. The remaining administrative expenses shall be met from the Administration Accounts set up under the Employees' Provident Fund Scheme, 1952. The cost of remittance of Pension shall be charged on the Pension Fund.

1.3 APPLICABILITY

1.3.1 The Employees' Pension Scheme, 1995 applies to all establishments to which the Employees' Provident Fund and Miscellaneous Provisions Act, 1952 applies. Thus, it includes all the establishments to which exemption from the operation of Employees' Provident Fund Scheme, 1952 has been granted or Relaxation Order issued. Wherever exemption from the operation of Employees' Pension Scheme, 1995 is granted to an establishment, the Scheme is not applicable to such establishment from the date it is exempted under Section 17 (1C) of the Act, as may be notified in the Gazette.

1.4 MEMBERSHIP

1.4.1 A member under the Employees' Pension Scheme, 1995 shall mean, an employee who becomes a member of the Employees' Pension Fund in accordance with the provisions of the Scheme.

'Eligible member' means an employee, who is eligible to join the Employees' Pension Scheme, 1995.

'Existing member' means an existing employee who is a member of the Employees' Family Pension Scheme, 1971.

The membership under the Employees' Pension Scheme, 1995 are of two categories viz., compulsory and optional.

The following employees are compulsorily required to become the members of the Employees' Pension Scheme, 1995.

- (a) The employee, who having been the member of the ceased Employees' Family Pension Scheme, 1971 and continue in employment on 16.11.1995 provided, he has not attained the age of 58 years as on 16.11.1995;
- (b) The employee, who has become member of the Provident Fund either in an unexempted or exempted establishment (i.e. establishment exempted from the operation of the Employees' Provident Fund Scheme, 1952 including employees exempted under Para 27 & 27A of the Employees' Provident Fund Scheme, 1952) for the first time on or after 16.11.1995 provided he has not attained the age of 58 years on the date of becoming a member of the provident Fund;
- (c) An 'excluded employee', as defined in Para 2 (f) or 80 or 81 of the Employees' Provident Fund Scheme, 1952, on opting to join the Employees' Provident Fund Scheme, 1952 will also become a member of the Employees' Pension Scheme, 1995; provided he has not attained the age of 58 years.
- (d) The member of the ceased Employees' Family Pension Scheme, 1971 who was out of employment as on 16.11.1995 and has not withdrawn the benefits payable under EPF & EFP-Scheme, 71 and not attained the age of 60 years on 15.11.95 shall be a member of the Employees' Pension Scheme, 1995.

A member of the Employees' Pension Scheme, 1995 retains his membership as long as the benefit accrued to him under the Scheme is not withdrawn. However, his membership shall cease on attaining the age of 58 years.

A member of the Employees' Pension Scheme is entitled to carry over the period of his membership from one establishment to the other by availing the facility of Scheme Certificate. In case the due benefit is availed, the membership will cease and hence cannot be carried over.

1.4.2. Cessation of membership

- 1) On attaining the age of 58 years, an employee ceases to be a member of the Employees' Pension Scheme, 1995
- 2) A person who has drawn the pension (including reduced Pension and disabled pension) also cease to be a member of the Employees' Pension Scheme, 1995. In case of rejoining an establishment, he will not be eligible to become a member

1.4.3 MEMBERSHIP (OPTIONAL)

The Employees' Pension Scheme, 1995 provides for option to join the Scheme:-

- (i) Member of the Employees' Provident Fund or Exempted Provident Fund, but not being a member of the Employees' Family Pension Scheme, 1971, can exercise his option only from retrospective effect from 1.3.1971 to become eligible for membership of Employees' Family Pension Scheme, 1971 and to qualify for membership in the Employees' Pension Scheme, 1995 from 16.11.1995, provided he has not attained the age of 60 years as on 15.11.1995. Only from 16.11.95 or thereafter such member is entitled to draw pension.
- (ii) The employee who ceased to be a member of the Employees' Family Pension Scheme, 1971 between 1.4.1993 to 15.11.1995 on account of his attaining the age of 60 years or cessation of employment, can exercise his option to become member of the Employee's Pension Scheme, 1995 from the date of cessation/ exit from the employment;

A member who ceased his membership on attaining the age of 60 years between 1.4.1993 - 15.11.1995 and continues in service thereafter, can exercise the option from the date of cessation of his membership on attaining the age of 60 years.

- (iii) A member who was not in employment as on 1.4.1993 but retains his membership by virtue of proviso 6 of the ceased Employees' Family Pension Scheme, 1971 and also retains his P.F. membership as on that date, is eligible to exercise option to become a member of the Employees' Pension Scheme, 1995 provided he has not attained the age of 60 years as on 31.3.1993.
- (iv) The employee who ceased to be member of the Employees' Family Pension Scheme, 1971 between 1.4.1993 - 15.11.1995 and died during that period, shall be deemed to have exercised option to join the Employees' Pension Scheme, 1995 on the date of his death.
- (v) A member of the ceased Employees' Pension Scheme, 1971 who left service between 1.4.93 & 15.11.95 and died after 16.11.95 without exercising any option to join the Employees' Pension Scheme, 1995, the family would be entitled to Pension provided the member had not attained the age of 58 years as on 15.11.95 and whether availed or not the withdrawal benefit. However, if the member had attained the age of 58 years as on 16.11.1995 and thereafter, member Pension followed by Widow Pension shall be allowed. If the member availed the Withdrawal Benefit during 1.4.93 & 15.11.95, the family would not be entitled for Pension in the event of death of the member on or after 16.11.95

1.4.4

The above persons can exercise their option subject to the following conditions:-

- (i) The persons referred against clause (i) & (ii) of Para 1.4.3 should exercise their option in the prescribed form (Form 1).
- (ii) In the case of persons referred to in clause (iv), on receipt of a letter from the beneficiary requesting for payment of pension under Employees' Pension Scheme, 1995 instead of Employees' Family Pension Scheme, 1971, Regional Office/Sub-Regional Office should review such cases and take further necessary action, if the beneficiary shall receive higher benefits determined as on the date of death of the member under the Employees' Pension Scheme, 1995.
- (iii) The Persons referred to in Para 1.4.3 (i) should pay the arrears of both shares of the Family Pension Fund contribution from 1.3.1971 to 15.11.1995 either by diversion from Provident Fund account or by remittance, calculated on the wages reckoned for recovery of Family Pension Fund contribution viz., the contributions which could have been diverted from the Provident Fund (both shares) together with the interest @ 8.5% p.a. The interest should be calculated upto the date of payment. If the wage particulars from 1.3.1971 are not forthcoming from the establishment, the contribution may be calculated on the pay ceiling fixed for payment of Family Pension Fund contribution from time to time with due interest as indicated above. Alternatively, the wages may be notionally arrived at with reference to the annual PF contributions in the ledger card/Form 24 and the FPF contributions may be worked out. Thus, the maximum amount of diversion would be Rs. 31,550/- upto 15.11.95. In addition, the actual Employees' Pension Scheme, 1995 contribution due @ 8.33% of the wages from 16.11.1995 onwards should be diverted from the Provident Fund along with interest at the rate declared and manner prescribed under para 60 of the Employees' Provident Fund Scheme, 1952.
- (iv) The Option should be exercised before attaining the age of 60 years as on 16.11.95 and before authorisation of Provident Fund dues. A Provident Fund member who has not attained the age of 58 years as on 16.11.1995, may opt before he attains the age of 58 years and before authorisation of his Provident Fund account.
- (v) Erroneous recovery of Family Pension Fund contributions in respect of non-optee made subsequent to 1.3.1971 should be diverted to Provident Fund/refunded, wherever account settled. In case, such member /widow desires, they can opt by paying the dues from 1.3.1971 to the date of erroneous recovery. Employees who died on or after 16.11.1995 but without exercising option cannot be given option, except when he was prevented from opting, on account of pending Writ Petition on the applicability of the Scheme to the establishment.

(vi) The persons referred to in Para 1.4.3 (ii) should refund the retirement-cum-withdrawal benefit, if any, received by him together with Interest @ 8.5% p.a. from the date of payment (date of cheque) of retirement-cum-withdrawal benefit to the date of refund of the amount.

(vii) The beneficiary in respect of the deceased member referred to in Para 1.4.3 (iv) should refund the Life Assurance Benefit paid, if any, together with the interest @ 8.5% from the date of payment (cheque date) of Life Assurance Benefit to the date of refund of the amount, The Family Pension paid should, however, be adjusted from the pension payable under Employees' Pension Scheme, 1995.

1.4.5 A Provident Fund member, who has finally withdrawn his Provident Fund accumulations prior to 16.11.1995 is not eligible to exercise option to join the Employees' Pension Scheme, 1995. However, if the part payment is made and the membership is retained as per provisions of Para 26A of the Employees' Provident Fund Scheme, 1952 he can exercise the option, subject to payment of dues as stated above. Any payment of supplementary/arrears of contribution due to the member on account of wage revision, settlement, etc., by the employer or otherwise and the same is required to be released to the member, as supplementary payment shall not be treated as part payment for the above purpose.

If the Provident Fund account of the member is fully and finally settled after 16.11.1995 but retained the Pension Fund membership alone on account of his not withdrawing the benefit and he takes up employment in a covered establishment or not he is not required to exercise his option to join the Employees' Pension Scheme, 1995. He shall become a compulsory member of the Employees' Pension Scheme, 1995 from the date of his joining the covered establishment.

1.4.6 A Family Pension Fund member, who left service between 1.4.1993 and 15.11.1995 and subsequently died during that period, shall also deemed to have exercised option. If the member has availed retirement-cum-withdrawal benefit under Employees' Family Pension Scheme, 1971, the amount of benefit availed should be refunded alongwith the interest @ 8.5% calculated from the date of payment (cheque date) to the date on which the amount is deposited in Account No. 10. In such cases, the refund may be accepted from the beneficiary under the Employees' Pension Scheme, 1995.

1.4.7 Family Pension Fund member, who crossed the age of 58 years but not 60 years before 1.4.1993 and continued in service till the age of 60 and above and left the service between 1.4.1993 and 15.11.1995, is also eligible to exercise option.

ELIGIBILITY FOR MEMBERSHIP IN RESPECT OF BELATED COVERAGES

1.4.8 In the case of belated implementation (retrospective coverage) of the establishment, the employer should be directed to deduct the contribution towards Employees' Family Pension Scheme,

1971 and Employees' Pension Scheme, 1995 from the date he is liable to implement provisions of the Act and the Schemes and not from a prospective date i.e. date after the issue of coverage letter allotting the Code Number. Wherever the employee's share of contribution for a pre-discovery period, is waived, both the shares of Family Pension Fund contributions due upto 15.11.1995 should be diverted from the employees'/employer's share of Provident Fund contributions to Employees' Pension Fund. The contribution due to Employees' Pension Fund at the statutory rate (presently 8.33%) should also be diverted from 15.11.1995 onwards from the employer's share of Provident Fund contribution. Even in past cases, belated implementation retrospective coverage, similar action should be taken to extend the benefits under Employees' Family Pension Scheme, 1971/ Employees' Pension Scheme, 1995. The belated enrolment should also be regularised accordingly.

C H A P T E R

2

EMPLOYEES' PENSION FUND CONTRIBUTION

- 2.1.1 (a) From and out of the Employer's share of P.F. contributions payable by the employer in each month under Section 6 of the Act or under the rules of the Provident Fund of the establishment which is exempted under Section 17(1) (a) / (b) of the Act or whose employees are exempted under Para 27/27A of the Employees' Provident Fund Scheme, 1952, a part of contribution representing 8.33% of the employees' pay shall be remitted by the employer to the Employees' Pension Fund within 15 days of the close of every month into EPF Account No. 10 viz., Employees' Pension Fund contribution Account maintained in the State Bank of India
- (b) Where the pay of the member exceeds Rs. 5000/- per month, the contribution payable shall be limited to the amount payable on his pay of Rs. 5000/- only. However, at the option of the employer and the employee, contribution at 8.1/3% may be paid on pay exceeding Rs. 5000/- per month, from the date of commencement of the Scheme or from the date pay exceeds Rs. 5000/- whichever is later.
- (c) The option should be for the payment of contribution on the pay actually drawn in excess of Rs. 5000/- and will be in force till the termination of membership. Option once exercised is final.
- (d) Option initially given may continue even if his pay increases thereafter and contributions will be deducted on the increased pay from time to time.
- (e) Where the option is given for the (full) pay in excess of pay ceiling, the contribution will be recovered on that pay and pensionable salary determined subject to ceiling of pay opted and paid.
- (f) Where the rate of contribution is more than 8.33% a sum equivalent to 8.33% of pay shall be bifurcated from and out of the employer's share of contribution towards Pension Fund and deposited in Account No. 10.
- (g) The balance of employer's share of contribution shall be paid as Provident Fund contribution to Employees' Provident Fund Account No.1 or to Exempted Provident Fund, as the case may be.

- (h) The amount of pension contribution shall be calculated to the nearest rupee i.e. 50 paise or more to be accounted as next higher rupee and fraction of rupee i.e. less than 50 paise may be ignored.

2.1.2 The contribution in respect of each member of an unexempted establishment should be reflected in Form 3A (EPF) and submitted by the employer along with Form 6A (EPF) within one month from the close of each financial year. The Form 12A will reflect the dues and remittances in respect of Pension Fund members for a month.

2.1.3 The contribution received in respect of a member after attaining the age of 58 years or on the pay exceeding Rs. 5000/- without the option for payment thereof, should be transferred to Provident Fund account of the member.

2.1.4 The exempted establishments (Exempted from the Employees' Provident Fund Scheme only) are required to furnish the details of recovery and remittance of contribution in Form 6 (Pension Scheme) every month. The Pension Fund contributions in respect of each member should be reflected in contribution Card in Form 7(PS). It should be submitted to Regional Office along with Form 8 (PS) within one month from the close of every financial year (i.e. 30th April).

2.1.5. The dues and remittance should be reconciled at the close of each year through the DCB Register.

2.2 DUE DATE FOR PAYMENT OF CONTRIBUTIONS:

2.2.1 Contributions to the Pension Fund are payable on or before 15th of the month following the month to which the contribution relates. However, 5 days grace period is allowed to the employer to pay the dues.

2.3. RECONCILIATION OF DUES AND RECEIPT

Dues and remittances towards pension fund should be watched through Form 12A /6 (PS) and posted in the DCB Register. The procedure for audit and acceptance of dues and remittance is dealt in Part - I of this Manual.

The Return in Form 3A /Form 7 (PS) should be sent to EDP Cell to calculate the Pension Fund dues for the month and also to extract the period of non contributory service to Form 24. A reconciliation of remittance made in Account No. 10 (Pension Fund contribution Account) should also be drawn in Form 6A /Form 8 (PS). If the total Pension Fund Contribution shown in the Form 6A/ Form 8 (PS) is found to agree with the details of dues and remittances shown in the DCB Register in respect of establishment for the year, it would mean that the aggregate of the contribution shown in the Form 6A /Form 8 (PS) has been reconciled with the actual receipt as recorded in the Cash Book. All receipt of contributions should be verified with the schedule of receipts received from Cash Sec-

tion every month.

2.4 CONTRIBUTIONS OF EXEMPTED ESTABLISHMENTS

The Exempted establishments which are having branches at various places will have to render necessary returns/ deposit Pension Fund contributions to the Regional Provident Fund Commissioner of the Regional/Sub-Regional Offices, where the Inspection charges are being remitted. However, where the exempted establishments are permitted to deposit the Pension Fund contribution separately with respective Regional Office/ Sub-Regional Office, wherein their Branches/ Offices are located, the same may be accepted.

2.5 CONTRIBUTION DUE FROM OPTEEES TO THE EMPLOYEES' PENSION SCHEME

The employees who are eligible to opt for the Employees' Pension Scheme, 1995 (w.e.f 1.3.71 only) are required to remit the past period contribution (with interest thereon), with effect from 1.3.1971. The procedure for remittance has been explained in Chapter 1.4.4 (iii) of this part of the Manual.

2.6 DEFAULTING ESTABLISHMENTS

The Accounts Section should prepare a defaulter list of establishment through EDP which have not paid the dues towards Employees' Pension Fund, with reference to the entries in the DCB Register and Schedule of receipt by the 5th of every month and send it to Enforcement Branch for initiating recovery proceedings, and penal action against the defaulting establishment. On receipt of defaulters list from the Accounts Section. Enforcement branch should take expeditious action to recover the dues. None of the pensionary benefits due to any member or beneficiary shall be denied due to non-remittance of contributions by the employers. However, the employers shall not be absolved of their liability.

2.7 LEVY OF DAMAGES

2.7.1 The belated remittance of Pension contribution due to the Employees' Pension Fund will attract levy of damages under Section 14-B of the Act read with para 5 of the Employees' Pension Scheme, 1995

2.7.2 The Accounts Section should prepare list of establishments through the EDP, which have paid the dues belatedly with reference to entries in DCB Register and Schedule of receipt, by the 5th of every month and send it to Damages Cell.

2.7.3 The procedure for levy of damages is incorporated in Part I of this Manual.

2.7.4 The penal damages realised should be deposited in Employees' Provident Fund Account No. 10.

2.8 APPLICATION OF THE PROVISIONS OF THE EMPLOYEES' PROVIDENT FUND SCHEME, 1952

Para 38 of the Employees' Pension Scheme, 1995 provides for application of the corresponding provisions of Employees' Provident Fund Scheme, 1952 in regard to matters for which either there is no provision or there is inadequate provisions in the Employees' Pension Scheme, 1995. Before invoking this provisions, the proposed application of Employees' Provident Fund Scheme, 1952 should be referred to the Controller of Pension in Regional Office for examination and uniform application with the approval of Central Provident Fund Commissioner, wherever necessary.

2.9 POWER TO ISSUE DIRECTIONS AND INTERPRETATION

2.9.1 Any difficulty in the matter of disbursement of Pension and other benefits and implementation or securing compliance to enforce the provisions of the Scheme which may arise in the course of working, should be first examined by the concerned Regional Office/Sub Regional Office with reference to the Employees' Pension Scheme 1995 and the provisions of this manual before taking the matter with the Controller of Pension of the region concerned. No reference should be made direct to the Central Office or to the Government of India. All such references should be examined by the Controller of Pension and unresolved issues will be taken up with the Central Provident Fund Commissioner along with his comments on the specific cases referred to him. No hypothetical case should be referred to at any stages.

The Pension Wing of the Central Office will endorse of a copy of the letter seeking directions from the Central Government to all the Controller of Pension for their information. As and when a decision is received from the Central Government, it should be conveyed to all Controllers of Pension, Regional Office/Sub-Regional Offices, Training and Audit Wing of the Organisation.

2.9.2 The above procedure should be adopted in regard to seeking of interpretations of the provisions of the Employees' Pension Scheme, 1995.

EXEMPTION

EXEMPTION FROM THE OPERATION OF EMPLOYEES' PENSION SCHEME, 1995

3.1 Section 17 (1C) of the Employees' Provident Fund and Miscellaneous Provisions Act, 1952 read with Para 39 of the Employees' Pension Scheme, 1995 provides for grant of exemption from the operation of Employees' Pension Scheme, 1995. This exemption is applicable to an establishment or a class of establishments. (The class of establishment shall be construed as a group of establishments functioning under a single corporate body). As such, no exemption can be allowed to an individual employee or class of employees in an establishment from the operation of the Employees' Pension Scheme 1995.

An establishment seeking exemption for its establishment, excluding its contract employees, even in cases where a separate/ sub-code No. is given for the contract employees, is not eligible for grant of exemption.

The establishment which is already having a Pension Scheme of its own as well as an establishment which proposes to formulate a Pension Scheme, (wherein the pensionary benefits are at par or more favourable than the Employees' Pension Scheme, 1995) may apply for exemption from the operation of the Employees' Pension Scheme 1995.

3.4 The authority empowered to grant exemption is the appropriate Government i.e. State/ Central Government, as the case may be. The appropriate Government is defined under Section 2(a) of the Act.

3.5 The establishment or a class of establishments should fulfill the following criteria to become eligible for exemption:-

The Pensionary benefits available to the employees of the establishment under the existing or the proposed scheme of the establishment or class of establishments should be at par or more favourable than the benefits available under the Employees' Pension Scheme, 1995

NON-REMITTANCE OF PENSION CONTRIBUTION PENDING GRANT OF EXEMPTION

3.6 There is no provision under the Act/ Scheme for issue of relaxation Order for non-implementation of Employees' Pension Scheme, 1995 pending disposal of application for grant of exemption. However, the establishment, which has sought for exemption, after fulfilling the prescribed conditions and by submitting the requisite documents /certificates to the satisfaction of the Regional Provident Fund Commissioner concerned need not remit employer's share of contribution to the Pension Fund but should be retained in Provident Fund. In the event the application for exemption is not entertained/rejected, the employer shall be liable to pay the pension contribution together with interest at statutory rate thereon.

3.7 After ensuring that the establishment has fulfilled all the requirements and found considered fit for grant of exemption, the Regional Provident Fund Commissioner may forward such application for grant of exemption to the Central Provident Fund Commissioner for his consideration.

3.8 Wherever the employer has remitted the Pension Fund contribution pending disposal of his application for grant of exemption, on grant of exemption by the appropriate Government, such amount of contribution shall be refunded with interest at statutory rates under Employees' Provident Fund Scheme, 1952.

3.9 The benefits of retirement-cum-withdrawal benefits available to the employees of such establishments under the ceased Employees' Family Pension Scheme, 1971 as on the date of grant of exemption shall also be paid to the Pension Fund of the establishment subject to the consent of the employees.

3.10 The establishment seeking exemption should submit an application to the appropriate Government along with the supporting certificates/documents to the satisfaction of the Regional Provident Fund Commissioner.

3.11 The format of application to be submitted by the establishment and the connected documents, the contents of the Pension Scheme of the establishment, form for giving consent of majority employees, certificate on enrolment of all category of employees, certificate from the Board of Trustees on investment of Pension Fund, comparative statement of benefits, actuarial certificate, (alongwith the details of valuation made) and form of undertaking are given in the Form A and B annexed to this Chapter.

PROCESSING OF EXEMPTION APPLICATION:

3.12 The Employees' Pension Scheme, 1995 specifically provides a time limit for disposal of applications seeking exemption. Accordingly, the application should be disposed of within a period of six months from the date of its receipt or such further time that may be extended for reasons to be recorded in writing. If the application is not disposed of within the period of six months from the date of its receipt or such further time that may be extended for reasons to be recorded in writing, the exemption applied for shall be deemed to have been granted. The period of six months will count from the date on which the application for exemption is given in complete form to the satisfaction of the Regional Provident Fund Commissioner.

3.13 In order to ensure prompt disposal of applications, the Assistant Provident Fund Commissioner, incharge of exemption should personally monitor the receipt and disposal through a Watching Register.

3.14 While scrutinising the application, the following checks should be exercised:-

- (a) whether the application is in the prescribed form;
- (b) all supporting documents listed out in Form B are received and complete in all respects;
- (c) whether the benefits compared are at par or more favourable than the Employees' Pension Scheme, 1995 with particular reference to the provisions relating to coverage, eligibility, entitlement, pensionable salary and quantum of pension;
- (d) whether the establishment, if exempted from the operations of Employees' Provident Fund Scheme, 1952 fully complying with the conditions governing the grant of exemption.

3.15 On satisfying that the establishment has fulfilled the requisite criteria for considering the grant of exemption by the appropriate Government, the Regional Provident Fund Commissioner should forward the application, along with comparative statement (Annex-H) and his comments to the Central Provident Fund Commissioner through Controller of Pension for obtaining his recommendation.

3.16 On receipt of the recommendations of the Central Provident Fund Commissioner, the application alongwith the recommendation of Central Provident Fund Commissioner should be forwarded to the appropriate Government for a decision in the matter of grant of exemption.

3.17 The decision of the Government, on its receipt shall be communicated to the establishment, along with a copy of the Gazette notification.

3.18 On grant of exemption, the Enforcement Section shall ensure that the conditions governing grant of exemption are properly complied.

No.

Dated:

To
The Regional Provident Fund Commissioner**

** By Name to:
R.P.F.C. Exemption

Subject Employees' Pension Scheme, 1995 - Grant of Exemption under Section 17 (1C) of the Act read with Para 39 of the Employees' Pension Scheme, 1995 - Regarding.

Ref.: Establishment's Code No.

Sir,

We are enclosing herewith our application addressed to the appropriate authority seeking exemption from the operation of the Employees' Pension Scheme, 1995, to the Employees' of this establishment under Section 17 (1C) of the Employees' Provident Funds and Miscellaneous Provisions Act, 1952, read with Para 39 of the Employees' Pension Scheme, 1995.

2. Our establishment has framed a Pension Scheme wherein the pensionary benefits are at par with more favourable than, the benefits provided under the Employees' Pension Scheme, 1995.

3. The following documents/certificates (in triplicate) are enclosed herewith:

- (i) Application seeking exemption from the appropriate Government;
- (ii) Pension Scheme of the establishment with reference to Annexure "A";
- (iii) Approved Registered Trust Deed;
- (iv) I.T. Recognition received/applied for the set up of the Pension Fund;
- (v) Consent of majority of employees (Annexure-B);
- (vi) Certificate of the employer providing Pension Scheme to all category of employees associated with the establishment as per Annexure "C";
- (vii) Declaration by the Trustees on investment as per Annexure "D";
- (viii) Actuarial evaluation in Annexure "E";
- (ix) Actuary's Certificate confirming solvency and adequacy of the Fund in Annexure "F";
- (x) Certificate of the establishment on submission of Annual Certificate / Accounts etc. in Annexure "G";

Yours faithfully,

Encls: As above

NAME & DESIGNATION / SEAL

Form - B

Name and address of the
Establishment:

No.

Date:

To

The Secretary,
Ministry/Department of Labour
Government of _____

(Appropriate Govt.)

Through: The Regional P.F. Commissioner,

Sir,

Sub: Employees' Pension Scheme, 1995 - Exemption under Section 17 (1C) of the Act read with
Para 39 of the Employees' Pension Scheme, 1995 - Requested - Regarding.

Ref: Code No.

Our establishment has formulated a Pension Scheme and established a Pension Fund for all the employees with effect from _____. Our employees are members/ propose to be members of this Pension Scheme. The Pension Fund has been approved by the Commissioner of Income Tax. Comparing the benefits provided under the Employees' Pension Scheme, 1995 with that of the benefits provided under the Pension Scheme of this establishment, the benefits under the Company's Pension Scheme is at par with / more favourable than, the benefits which would be otherwise entitled to under the Employees' Pension Scheme, 1995.

2. In support of the Pension Scheme, the following documents are furnished

- (a) Pension Scheme of the establishment with reference to Annexure "A";
- (b) Approved Trust Deed;
- (c) IT Recognition received /applied for the set up of the Pension Fund;
- (d) Consent of majority of employees (Annexure -B)
- (e) Certificate of the employer providing Pension Scheme to all category of Employees associated with the establishment as in Annexure -"C";
- (f) Declaration by the Trustees on investment as per Annexure-"D";
- (g) Actuarial evaluation in Annexure "E";
- (h) Actuary's certificate confirming solvency and adequacy of the Fund in Annexure "F";
- (i) Certificate of the establishment on submission of Annual Certificate / Accounts etc. in Annexure "G";

3. We request you to kindly grant us exemption from the operation of the provisions of the Employees' pension Scheme, 1995 with effect from _____.

Yours faithfully,

NAME & DESIGNATION / SEAL

Encl: As above

ANNEXURE 'A'

PROVISION TO BE MADE IN THE EXEMPTED PENSION FUNDS

Trust Deed and Trust Rules should contain the following:

1. The Employer shall establish a Board of Trustees for the management of the Pension Fund following the directions as may be given by the Central Provident Fund Commissioner or by the appropriate Government, as the case may be from time to time. Such Board of Trustees shall have atleast one employee's representative.
2. The Pension Fund shall vest in the Board of Trustees who will be responsible for and accountable to the Employees' Provident Fund Organisation, inter-alia for proper accounting of the receipts into and payments from the Pension Fund and the balances in their custody.
3. The Board of Trustees shall meet atleast once in every three months and shall function in accordance with the guidelines that may be issued from time to time by the appropriate Government/ Central Provident Fund Commissioner or any other Officer authorised by him.
4. The accounts of the Pension Fund maintained by the Board of Trustees shall be subject to audit by a qualified independent Chartered Accountant annually. Where considered necessary, the Central Provident Fund Commissioner shall have the right to have the accounts re-audited by any other qualified auditor and the expenses so incurred shall be borne by the employer.
5. A copy of the audited annual Pension Fund accounts together with the audited Balance Sheet of the Fund for each accounting year shall be submitted to the Regional Provident Commissioner within 6 months after the close of the financial year. For this purpose, the financial year of the Pension Fund shall be 1st April to 31st March.
6. The Employer shall transfer to the Board of Trustees the contribution payable to the Pension Fund by the 15th of each month following the month for which the contribution is payable. The Employer shall be liable to pay damages for any delay in transfer of the funds to the Board of Trustees.
7. The Board of Trustees shall invest the monies in the Pension Fund as per directions that may be given by the Government/ Central Provident Fund Commissioner from time to time. The securities shall be obtained in the name of Board of Trustees and shall be kept in the custody of a Scheduled Bank under the credit control of the Reserve Bank of India.
8. Failure to make investment as per directions of the Government shall make the Board of Trustees severally and jointly liable to surcharge that may be imposed by the Central Provident Fund Commissioner or any other Officer authorised by him.
9. The Board of Trustees shall maintain a scrip wise register and ensure timely realisation of interest/ redemption proceeds.
10. The Board of Trustees shall maintain detailed accounts to show the Pension contributions received, pension amount disbursed and interest received on the Pension Fund.
11. The Board of Trustees may issue pass books showing their Pension Fund accretion to every employee. These pass books shall remain in the custody of employees and will be brought up to date by the Board on presentation by the employees.
12. The employer shall make good any loss that may be caused to the Pension Fund to theft, burglary, defalcation, mis-appropriation or any other reason.

13. The employer as well as the Board of Trustees shall submit such returns that may be prescribed by the Regional Provident Fund Commissioner/ Central Provident Fund Commissioner/appropriate Government from time to time.
14. Notwithstanding anything contained in the Pension Fund rules of the establishment, if on the cessation of any individual from the membership of the Pension Fund consequent on retiring from service or on taking up the employment in some other establishment, it is found that the benefits under Pension Fund Rules of the establishment are less favourable as compared to those under the statutory scheme, the difference shall be borne by the employer.
15. The employer shall bear all the expenses of the administration of the Pension Fund including the maintenance of accounts, submission of returns etc.
16. The employer shall display on the Notice Board of the establishment, a copy of the rules of the Pension Fund as approved by the appropriate authority and as and when amended thereto alongwith a translation of the salient points thereof in the language of the majority of the employees.
17. The appropriate Government may lay down any further conditions for exemption of the establishment from the operation of the Statutory Scheme.
18. In the event an employee who is already a member of the Pension Scheme (either in exempted or in unexempted establishment) is employed in his establishment, the employer shall immediately enroll him as a member of Pension Scheme and arrange to have the accumulation in the Pension Fund account of such employee with his previous employer transferred and credited to Pension Fund account.
19. Employer should undertake either to provide or bear the cost for extending managerial and financial expertise to the Pension Fund Trust.
20. Income Tax and other statutory recognition required for operating Pension Fund be obtained and furnished.
21. The exemption will be liable to be cancelled for violation of any of the above conditions.

ANNEXURE 'B'

The Establishment i.e. _____
has advised that they have created an Exempted Pension Fund at par with that of EPS, 1995.
we, the following undersigned, have opted in favour of this exempted Pension Fund.

NAMES

SIGNATURES

DATE

Attested
Establishment:

ANNEXURE 'C'

We,

the duly Constituted attorneys of _____ do hereby confirm:

1. All permanent employees of this Company have been covered under this scheme.
2. All Temporary employees of this Company have been covered under this scheme.
3. All Casual employees of this Company have been covered under this scheme.
4. All seasonal employees of this Company have been covered under this scheme.
5. All contractor's Labour have been covered under this Scheme.
6. The following employees have not been covered under this Scheme:

SIGNATURE OF THE EMPLOYER

NAME & DESIGNATION:

OFFICIAL SEAL:

ANNEXURE 'D'

We, the Trustees of _____

Employees' Pension Scheme, do hereby confirm that all the investments of the Fund during the Financial year ending _____, has been made as per approved format of investments. No securities has been sold at a loss to the Fund/ any loss on sale of securities has been reimbursed by the Company.

SIGNATURES:

(WITH FULL NAME IN CAPITAL LETTERS)

OFFICIAL SEAL

TRUSTEES

ANNEXURE 'E'

EVALUATION OF PENSION SCHEME OF THE ESTABLISHMENTS VIS -A VIS

EMPLOYEES' PENSION SCHEME, 1995

CRITERION	EMPLOYEES' PENSION SCHEME, 1995	PENSION SCHEME OF THE ESTABLISHMENT
1. Contribution	9.1/2% of wage	
2. Retirement Age	58	
3. Members Pension	$1/70 \times \text{Salary} \times \text{service}$	
4. Minimum Pension	Rs. 500/- p.m.	
5. Maximum Pension	60% of Salary	
6. Death in Service	widow Pension = man's Pension Children's Pension = 25% of widow Pension Orphan Pension = 75% of widow Pension	
7. Death after retirement	Widow = 50% of man's Pension Children = 25% of widow pension Orphan = 75% of Widow Pension	
8. Bachelors Pension	Pension to Nominee after Retirement	
9. Pension Options	Pension for life, 90% of original pension for life, 100 times original pension on death of pensioner.	
10. Pension increase	On every Actuarial Valuation.	

Conclusion:

SIGNATURE OF THE ACTUARY
(WITH FULL NAME IN CAPITAL LETTERS)

ADDRESS

ANNEXURE 'F'

Actuary's Certificate Includes following items:

1. Liability of the Fund as at 31st March of that year.
2. Asset of the Fund as at 31st March of that year.
3. Contribution to the Fund as at 31st March of that year
4. Solvency of the Fund on long term basis.
5. Adequacy of the Fund to meet the liability as and when it arises i.e no Cash flow problem.

SIGNATURE OF THE ACTUARY WITH SEAL

FULL NAME IN CAPITAL LETTERS:

ANNEXURE 'G'

CERTIFICATE OF THE ESTABLISHMENT FOR FURNISHING THE ANNUAL ACCOUNTS / ACTUARIAL VALUATION ETC.

I hereby undertake to furnish the following documents certificates by 30th September of every year to the Regional Provident Fund Commissioner in respect of the Pension Fund formulated for the employees of M/s.

- (a) Audited accounts of the Pension Fund by a Chartered Accountant.
- (b) Annual Actuarial Valuation of the Fund by an Actuary.
- (c) Confirmation by Trustees that investment of the Fund is as per the pattern.
- (d) Certificate confirming that the benefits paid to employees in no case was less than that available under Employees' Pension Scheme, 1995.

Signature

Name with designation:

Official Seal of the Establishment

ANNEXURE 'H'
COMPARISON OF
ESTABLISHMENT PENSION SCHEME
VIS -A -VIS
EMPLOYEES' PENSION SCHEME, 1995

S.NO.	CRITERION	STATUTORY SCHEME EPS, 1995	ESTABLISHMENT Pension Scheme	CONCLUSION	COMMENTS/ RECO- MMENDATIONS/ OF RPFC (INCHARGE OF REGION)
(1)	(2)	(3)	(4)	(5)	(6)
				AT PAR/ SUPERIOR/ INFERIOR	
1.	MEMBERSHIP	(i) Every employee of the Establishment contributing to EPF Scheme, 1952/Exempted P.F. Scheme and EFP Scheme, 1971.			
		(ii) All new entrants joining the establishment w.e.f. 16.11.95			
		(Para 6)			
2.	CONTRIBUTION	(i) 8.33% of Employer share			
		(ii) 1.16% of wages as Govt. share.			
3.	MONTHLY MEMBERS PENSION	(a) <u>Superannuation Pension</u> on completion of eligible service of 20 years and on attaining the age of 58 years.			
		(b) <u>Retirement Pension</u> On completion of eligible service of 20 years and on retirement before attaining the age of 58 years.			
		(c) <u>Short Service Pension</u> On completion of eligible service of 10 years or more but less than 20 years.			
		(Para 12 (1))			
		(d) <u>Eligible Service: 10 Years</u>			
		(e) <u>Superannuation Age: 58 years</u>			

(1)	(2)	(3)	(4)	(5)	(6)
4.	PERMANENT TOTAL DISABLEMENT PENSION	One months' contribution to the Pension Fund is required (Para 15)			
5.	BENEFITS ON LEAVING SERVICE BEFORE BECOMING ELIGIBLE FOR MONTHLY MEMBER PENSION.	(a) Refund of contribution as per Table "D" for the service less than 10 years. (Para 14) (b) Alternatively, Member can obtain scheme certificate retaining the services for future Pension/ Family Pension benefits. (Para 12 (8))			
6.	PENSION FORMULA	$1/70 \times \text{Pensionable Salary} \times \text{Pensionable Service.}$ (Para 12 (2))			
7.	PENSIONABLE SERVICE	(a) Contributory Service (b) Can go upto maximum of 40 years. (c) 2 years bonus weightage after completion of 20 years (Para 10)			
8.	ROUNDING UP OF PENSIONABLE SERVICE	6 months and above will be deemed as full year, less than 6 months. (Para 9)			
9.	PENSIONABLE SALARY	12 months average preceding to the date of exit (Para 11).			
10.	COMMUTATION	1/3rd of Pension can be commuted on or after 15.11.1998 (Para 12A)			
11.	OPTION FOR RETURN OF CAPITAL	(a) Three options available for reduced Pension. (b) 100/90 times of the Original Pension as Return of Capital as per the option exercised. (Para 13)			

(1)	(2)	(3)	(4)	(5)	(6)
12.	NOMINEE PENSION	Pension to Nominee in the case of death of Bachelor/ Spinster or person not leaving any eligible family member (Para 16 (5) (a))			
(1)	(2)	(3)	(4)	(5)	(6)
13.	FAMILY PENSION	(a) Death while in service with one month contribution. (b) Death away from service while holding Scheme Certificate. (c) Death as Pensioner. (Para 16)			
14.	CHILDREN/ ORPHAN PENSION	(a) Provision for payment of Pension at the rate of 25% of widow Pension to two eligible children upto the age of 25 Years alongwith widow Pension. (b) If the parents are not alive 75% of Widow Pension to each orphan will be paid for two orphans concurrently, upto the age of 25 years. (Para 16)			
15.	ACTUARIAL VALUATION	Provision for Annual Valuation exist. (Para 32)			
16.	GENERAL OBSERVATIONS (IF ANY)				

CONTROLLER OF PENSION /
RPFC OF (REGION)

CHAPTER

4

4.1 AUDIT AND ACCEPTANCE OF FORMS

The following are the forms designed for implementing the provisions of Employees' Pension Scheme,

1995

Sl. No.	Purpose	Form prescribed for		
		Unexempted Estts.	Estts. exempted from PF only	Common for both un-exem. & Exem. estts.
1.	Option form to join the Employees' Pension Scheme, 1995	-	-	F/1
2.	Declaration/nomination Form to furnish the list of family members and also the nominee(s)	-	-	F/2(Revised)
3.	Return of employees required or entitled to become member of the fund on the commencement of Scheme to the Estt.	F/9 (Revised) F/3 (PS)		
4.	Monthly return of employees qualifying to become members of the fund during the preceding month	F/5	F/4 (PS)	
5.	Return of employees leaving service of the establishment during the preceding month	F/10	F/5 (PS)	
6.	Statement of contribution due and remitted during the month	F/12A	F/6 (PS)	
7.	Contribution card	F/3A	F/7 (PS)	-
8.	Consolidated employee-wise annual contribution statement	F/6A	F/8 (PS)	-
9.	Declaration of person taking up employment in a covered establishment	-	-	F/11
10.	Return of ownership of the establishment	-	-	F/5A
11.	Application for claiming the withdrawal benefit and Scheme Certificate	-	-	F/10C
12.	Application for claiming Monthly Pension	-	-	F/10D

The procedure for audit and acceptance of these forms except Form 1, 2, 10C & 10D are explained in Part II of this Manual.

4.2 AUDIT AND ACCEPTANCE OF FORM 1 - OPTION FORM

Employees who have the option to join the Employees' Pension Scheme, 1995, as indicated in Chapter I of the Manual, should give their option in Form 1. The option for joining the Employees' Pension Scheme is subject to payment of contribution due under the ceased Employees' Family Pension Scheme, 1971 and Employees' Pension Scheme, 1995. The manner and procedure for calculation of contribution due has already been explained in Chapter 1. Only, after ensuring the realisation of contribution for the past period, the option form should be accepted. The fact of acceptance of option should be indicated in Form 9 (Revised) / Form 3 (PS). The fact of the acceptance of option should also be incorporated in the Employees' Master file maintained by EDP Section. The option once exercised is final and irrevocable. The option form should be preserved for a period of 3 years.

4.3 FORM 2 (REVISED) - DECLARATION & NOMINATION FORM

4.3.1 The declaration and nomination form is common for both Employees' Provident Fund and Pension Fund members. It contains two portions one for Employees' Provident Fund and another for Pension Fund. The particulars relating to the Pension Fund should be sent to the EDP Cell for maintaining the data on the list of family members and also the nominee particulars in the Employees' master file. In addition, the particulars of the member, his service etc., will also be kept recorded. This form on its receipt should be verified with reference to Form 9 (Revised) / Form 3 (PS). Form 2 (Revised) should be preserved carefully as it is an important document for the purpose of giving pension to a nominee. Any change in the nomination should be accepted and the records updated duly cancelling the earlier nomination in Form 2 (Revised).

4.3.2 The family of a member includes spouse, sons and daughters (including legally adopted children). The children, whose age is beyond 25 years also falls under the definition of 'family'. A member is required to execute nomination in favour of a person to receive pension under certain contingencies.

The person nominated should fall within the definition of family. A member, who is not married or who does not have a living spouse and children, irrespective of their age or marital status may nominate a person of his choice. The nomination should be in favour of one person only. If a member acquires a family subsequently, the nomination so made, shall be invalid. (Nomination in favour of spouse has no relevance as the spouse is an automatic beneficiary). As and when the member acquires family he may nominate a person.

4.3.3 The member while applying for pension in Form 10-D, is required to furnish the details of nominee with present address etc. This nomination shall be construed as a modification to the nomination earlier exercised by member, if any.

4.3.4 The form of Nomination i.e. Form 2 (Revised) should be verified with the claim in Form 10-D so as to ensure the correctness of 'family' members. However, the list of 'family' members as furnished by the member in Form 10-D should be accepted and acted upon as the position of his family is updated at the time of claiming the pension. When the Form 10-D is preferred by widow/ widower and children, the inclusion of all family members so verified from Form 2 (Revised) should be ensured. Any omission of persons should be got clarified. Additional children given, if any, in Form 10-D may be accepted.

CHAPTER

5

ADMINISTRATION ACCOUNT

5.1.1 There is no levy of administrative charges from the establishment under the Employees' Pension Scheme, 1995. However, the scheme provides for maintenance of a separate account viz., Employees' Pension Administration Account for recording all the administrative expenses under various budget heads. There is no need to maintain a separate bank account. However, a proforma account should be maintained to record the administrative expenditure charged to the pension fund. Only upto 16% of the total administrative expenditure of the Organisation can be charged to the Employees' Pension Fund. Any excess expenditure should be charged to the Employees' Provident Fund Administration Account.

5.1.2 The cost of remittance of Pension shall not be treated as administrative expenditure and therefore it should not be accounted for while assessing the administrative expenditure. The commission payable to the disbursing agencies and other incidental charges thereto should be charged to the Pension Fund. This also includes the commission payable to the Postal Department for disbursement of benefits under the ceased Employees' Family Pension Scheme, 1971.

BANKING

5.2 The procedure regarding the maintenance of Cash Books etc., and the related banking arrangements under the Employees' Pension Scheme, 1995 are incorporated in Part I of this manual.

INVESTMENT

5.3.1 Consequent to the introduction of Employees' Pension Scheme, 1995, the net assets that stand to the credit of ceased Employees' Family Pension Scheme, 1971 as on 16.11.1995 shall stand transferred and merged to the Pension Fund under the Employees' Pension Scheme, 1995.

5.3.2 Prior to the introduction of Employees' Pension Scheme, 1995, the Employees' Family Pension Fund moneys were kept in deposit with the Public Account of the Government of India.

5.3.3 The accumulations as on 16.11.1995 in the Public Account of Government of India shall continue to remain in that account.

5.3.4 The Central Government contribution to the Pension Fund @ 1.1/6% of the pay of the members of the Employees' Pension Scheme, 1995 shall continue to be invested in the Public Account.

5.3.5 The Central Government allowed interest on such deposits @ 5.5% upto 31.3.1981, 7.5% from 1.4.1981 to 31.3.1988 and 8.5% from 1.4.1988 onwards.

5.3.6 All moneys accruing to the Employees' Pension Fund Account, except the Central Government contribution, shall be invested in accordance with the pattern of investment prescribed for investment of Employees' Provident Fund moneys.

5.3.7 The method, manner and procedure of investment etc., are explained in Part I of this manual under the caption "Investment".

PREPARATION OF CLASSIFIED SUMMARY OF RECEIPT AND PAYMENT AND FINAL ACCOUNTS

5.4 The procedure and the time schedule for the preparation of monthly classified summary of Receipts and Payments under Employees' Pension Scheme, 1995 and also the final accounts viz. the Receipt and Payment Account in respect of contribution and Administrative expenses and Balance-sheet are incorporated in Part-I of the Manual.

6.1 AGE:

6.1.1 The age is playing a vital role in determining the eligibility for membership, pension and also the quantum of pension and other benefits. On attaining the age of 58 years, the member can normally draw the pension. However, if he is not in employment, he can draw the reduced pension from the age not earlier than 50 years. Thus, the age is to be determined accurately to reckon the benefit. The age should be determined with reference to date of birth. Wherever the date of birth is not given, it shall be determined in the following manner:-

- i) Where the year of birth is given but not the exact date, 1st July shall be treated as the date of birth
- ii) Where the year and month are given, the 16th of the month shall be treated as the date of birth; and
- iii) Where only the age is indicated the member shall be assumed to have completed that age on that date of the medical certificate accompanying Form 2 and where no medical certificate is attached to Form 2, on the date of filling Form 2.

6.1.2 On attaining the age of 58 years the member is not required to pay the pension contribution and the benefit under the Scheme are payable. Further, the age as on 16.11.1995 is also relevant to determine the monthly members pension, to the members of the Employees' Family Pension Scheme 1971, who have become members of Employees' Pension Scheme 1995. In the case of employees who were already members of the Family Pension Fund, the payment of pension is determined with reference to date of entry into the Pension Scheme, 1995 (16.11.1995). They are divided into three groups i.e.

- i) those who have not attained the age of 48 years ;
- ii) those who have attained the age of 48 years but less than 53 years; and
- iii) those who have attained the age of 53 years or more.

6.1.3 The particulars of age of the member as available in Form 9 (revised) /Form 3(PS) / Form 2 (Revised) should be relied upon to determine the eligibility for benefits, etc.

6.1.4 Wherever there is a variation in the date of birth/age is noticed, the age, as furnished by the employer through Form 9/3 (PS) and Form 5/4 (PS) alone should be relied upon.

6.1.5 All employees, who are below the age of 58 years and on becoming a member of the Employees' Provident Fund Scheme, 1952, shall compulsorily become members of the Employees' Pension Scheme 1995.

6.1.6 A member, who is enrolled as a member of the Employees' Provident Fund on attaining the age of 58 years, is not eligible to become a member under Employees' Pension Scheme 1995. Similarly, a member of the Employees' Pension Scheme on attaining the age of 58 years shall cease to be a member of Employees' Pension Scheme, 1995 and shall discontinue the payment of Pension contribution.

6.1.7 The completed age of the member alone should be taken into account for all purpose and as such the question of rounding off of age does not arise.

6.1.8 In the case of children, on attaining 18 years of age they become major. Till then, the guardian is to be appointed to receive the benefit.

6.1.9 Even though the family includes all children irrespective of their age, the eligibility for pension in respect of children (after the issue of amendment to the Scheme) (except disabled children) is only upto the age of 25 years.

6.1.10 A member is entitled to draw reduced pension at the earliest age of 50 years. However, this age restriction is not applicable to members who left service on account of total and permanent disablement and in respect of widow & children pension.

SERVICE

6.2.1 Service is defined under the Employees' Pension Scheme, 1995 under different context. They are past service, actual service, eligible service, pensionable service, contributory service and non-contributory service. The importance of each service in determining the eligibility and quantum of pension is given below:-

PAST SERVICE:

6.2.2 Past service is the period of service rendered by an existing Family Pension Fund member from the date of joining Family Pension Fund till 15.11.1995 or the date of exit (i.e. death or leaving service) whichever is earlier. In case of a pensioner, who ceased to be member of the Employees' Family Pension Scheme 1971, between 1.4.1993 to 15.11.1995 due to his exit or attainment of 60 years, his past service is the period of service from the date of joining the Employees' Family Pension Scheme 1971 to the date of exit or attainment of 60 years, whichever is earlier.

6.2.3 The period of past service would mean the period for which Family Pension Fund contributions were payable on the wages due to the members. This includes the period for which the employer had defaulted to pay the contributions and such period should not be construed as break. The period for which the contributions were not payable due to non-eligibility for wages on account of leave on loss of pay, temporary closure of establishment, strike, lookout or of similar nature or otherwise or for any other reason, should be treated as break in service and the same is required to be regularised and in the process to ensure the realisation of contribution due for such period.

6.2.4 The benefits due under the Scheme should not be deprived due to non-availability of option form or non-posting of breaks in service particulars or contribution in the Ledger Card. In such cases, the period of breaks, as furnished by the employer may be accepted. In transfer cases, the period of breaks as furnished in the Annexure "K" and extracted to Ledger Card, may be taken. Wherever, there is no details of breaks in service in the Annexure K / Ledger Card, it shall be treated as Nil.

6.2.5 ROUNDING OF PAST SERVICE:

A member of the Employees' Pension Scheme 1995 is entitled to past service benefit for the period of past service rendered by him. For the purpose of determining the total period of past service, the period of past service for less than 6 months shall be ignored and the total past service for a period of 6 months and above shall be rounded to a year.

ACTUAL SERVICE:

6.2.6 Actual service is the aggregate of period of service from 16.11.1995 or from the date of joining the establishment covered under the Act, whichever is later, to the date of exit from the employment of the establishment (leaving service or death) or attainment of 58 years of age, whichever is earlier. This service includes the period of contributory and also non-contributory period of service. The period of actual service is calculated to determine the period of eligible service. The fraction of service for 6 months or more shall be treated as one year, and less than 6 months shall be ignored.

6.2.7 In the case of employees either employed in a seasonal establishment/factory or employed seasonally in an establishment, even if their actual period of service is less than a year in any year, the period of 'actual service will be reckoned as one year.

6.2.8 The unemployment period between two spells of employment periods should be excluded to arrive at the actual service. The period of non-contributory service during the period of his employment should not be deducted to arrive at the actual service. However, such non contributory service will have a bearing on the Pensionable service.

PENSIONABLE SERVICE:

6.2.9 Pensionable service is the service rendered by the member from 16.11.1995 onwards and for which Pension Fund contributions have been received or receivable. The Pensionable service is one of the factor to determine the quantum of Monthly Member Pension.

6.2.10 The period of pensionable service is arrived at by reducing the period of non-contributory service during the period of employment falling on or after 16.11.1995 till the date of exit from the employment or attainment of 58 years, whichever is earlier from the actual service. The fraction of service for 6 months or more shall be treated as one year and the service of less than 6 months may be ignored.

6.2.11 The period for which the employer defaulted to pay the pension contributions will be treated as pensionable service, as the dues are receivable.

6.2.12 The 'non-contributory period of service' of employees employed seasonally in any establishment reckoned as 'actual service' shall not be treated as 'pensionable service'.

6.2.13 Wherever the pensionable service is 20 years or more, irrespective of the age, an additional weightage of 2 years is to be given, so as to determine the quantum of pension. As the Scheme stands as on 31.3.97, the weightage is due to be given only in the year (November) 2015.

ELIGIBLE SERVICE

6.2.14 The eligibility for pension is determined with reference to 'eligible service'. This comprises of the services namely, 'past service' and 'actual service'. The period of past service relates to service rendered by the employees under the Employees' Family Pension Scheme from 1.3.1971 to 15.11.1995. The actual service is the period of service rendered by the employees commencing from a date on or after 16.11.1995 till the date of exit from the employment or attainment of 58 years of age, whichever is earlier. The period either under past service or under actual service or both, as the case may be, will constitute eligible service. The eligibility for monthly pension to the member is determined with reference to 'eligible service' only. The period of 'past service' and 'actual service' should be rounded off separately to the nearest year to determine the eligibility for pension. If on account of rounding off alone the eligibility is denied such cases may be referred to Central Office.

6.2.15 The method of computing eligible service is as under:-

DETERMINATION OF ELIGIBLE SERVICE:

1. Period of Past Service:

a) Date of leaving service or 15.11.95, whichever is earlier:

b) Minus(-) Date of joining FPS, 1971

c) Past Service

x x x

d)* Less- Non contributory service (if not, regularised)

e) Net Past Service

(rounding off)

2. Period of Actual service

a) Date of exit

(Leaving date or 58 years) whichever is earlier

* All breaks under EPFS, 1971 requires to be regularised

b) Minus (-) (i) 16.11.95 or date of joining EPS, 1995 _____

Less (ii) Unemployment period between two spells of employment

c) Actual service _____ (rounding off)

3. Eligible Service:

Add: 1(e) + 2(c)

=

6.2.16 A period of 10 years eligible service is prescribed to become eligible for pension. This period of 10 years may be wholly fall either under past service or under actual service or under both. The service rendered by a member of ceased Employees' Family Pension Scheme 1971 has been termed as 'past service' and it should not be misconstrued as 'Pensionable service'. The 'eligible service' need not necessarily be a 'contributory service'.

6.2.17 The minimum period of 10 years eligible service for entitlement of pension is only for granting member pension (other than disabled pension) and not for widow and children pension.

6.3 SALARY

6.3.1 Similar to the term 'service' the term 'salary' is also equally relevant and it is vital factor in determining the quantum of benefits payable to the member as well as to his family.

6.3.2 The rate of pension contribution is 8.1/3% of the pay. It should be restricted to the maximum pay ceiling of Rs. 5000/- p.m. or at the option of the employee and employer on the entire pay i.e. pay reckoned for PF from the date of commencement of the Scheme or the date on which the pay exceeds Rs. 5000/- whichever is later.

6.3.3 The 'pensionable salary' is one of the factor to determine the quantum of monthly members pension. Pensionable salary shall be the average monthly pay drawn on which contribution to Employees' Pension Fund paid or payable during the contributory period of service in the span of 12 months preceding the date of exit from the employment. The total wages during the 12 months span shall be divided by actual number of days for which wages has been drawn and the amount so derived shall be multiplied by 30 to work out the average monthly pay.

The average monthly pay is calculated as under:

date of exit

28.3.1997

Period reckoned 1.4.1996 to 28.3.1997

Month	Pay earned	
	Actual No. of days	Amount Rs.
1. 4/96	31	4500
2. 5/96	20	3000
3. 6/96	Nil	..
4. 7/96	15	2250
5. 8/96	31	4500
6. 9/96	15	3000
7. 10/96	30	5000
8. 11/96	25	4800
9. 12/96	Nil	...
10. 1/97	15	2500
11. 2/97	31	5000
12. 3/97	28	5000
	<u>241</u>	<u>39550</u>

Average pay = $39550 / 241$
 = $164.10 \times 30 = 4923.23$
 Rounded to Rs. 4923/-

NOTE: In case of monthly paid employees, weekly holidays need not be shown as non-contributory service.

- 6.3.5 Even if the span of pay for 12 months falls prior to 16.11.1995, the average pay should be worked as per the Employees' Pension Scheme. Where there were no wages for the earlier period of 12 months, then only the period of reckoning should be stretched backward to the preceding block of 12 months. For example, if the exit falls on 5.10.96 and where there was no pay drawn from 9/95 onwards, his block of 12 months will be reckoned from 9/94 to 8/95.

6.3.6 The past service benefit of pension payable to existing members is reckoned with reference to their pay at two different slabs; i.e. salary upto Rs. 2500/- and salary more than Rs. 2500/-. This salary is with reference to the one drawn on 16.11.95 /Date of exit, whichever is earlier.

The term salary would mean pay/wages on which contribution is due.

6.3.7. No average pay need be calculated for arriving at the widow pension payable under Table C, which shall be calculated on the pay at the day of death or the withdrawal benefit payable under Table A and return of contribution under Table D which shall be calculated on the pay at the day of exit from employment.

SPECIMEN OF LETTER OF UNDERTAKING

The Branch Manager

_____ Bank (Bank's Name)

_____ Branch (Branch's Name)

Dear Sir,

Employees' Pension Scheme 1995 -
Payment of pension under P.P.O. NO. _____
Through your Office.
-o0o-

In consideration of your having, at my request, agreed to make payment of pension due to me every month by credit to my account with your bank. I, the undersigned, agree and undertake to refund or make good any amount to which may be credited to my account in excess of the amount to which I am or would be entitled. I further hereby undertake and agree to bind myself and my heirs, successors, executors and administrators to indemnify the bank from and against any loss, suffered or incurred by the bank in so crediting my pension to my account under the Scheme and to forthwith pay the same to the bank and also irrevocably authorise the bank to recover the amount due by debit to my said account or any other account/deposits belonging to me in the possession of the bank.

Yours faithfully,

Signature :
Name :
Address :

Date :

Witness :

(I) Signature

Name

Address

(II) Signature

Name

Address

Letter of intimation to beneficiary

Bank

Branch

Dated : _____

No. _____

To

Smt./Shri. _____

Subject : Claim for Family Pension under
Employees' Pension Scheme, 1995.
* * * *

Dear Madam/Sir,

*It is understood that Shri/Smt. _____ holder of
P.P.O. No. _____ has since died.

OR

*Please refer to your letter No. _____ dated _____
claiming Family Pension after the death of Shri/Smt. _____
pensioner, holder of P.P.O. No. _____

You are accordingly, requested to call at _____ branch of the bank
of any working day between _____ to _____ for personal
identification and completion of formalities before payment of family pension is
commenced.

2. You are also requested to furnish to this Bank the documents (forms enclosed)
mentioned below :

- (i) Certificate of non-remarriage/(non-remarriage certificate for
widow/widower family pensioner).
- (ii) Undertaking for refunding excess amount, if any paid after
commencement of payment of family pension, in form enclosed.

3. You are also requested to bring with you the following :-

- (i) Death Certificate of Shri/Smt. _____ deceased
pensioner.
- (ii) Pension payment Order (Pensioner's half).
- (iii) Pass Book in case you have already a bank account with the above
mentioned branch in your name.

Yours faithfully,

Manger
Branch
Bank

* Delete whichever is not applicable

ANNEXURE - 11
(Para 22.2)
(to be filled in duplicate)

TRANSFER APPLICATION FOR CHANGE OF PENSION PAYMENT FROM ONE BRANCH TO ANOTHER
FALLING WITHIN OR OUTSIDE THE LINK BRANCH OF THE BANK OR TO OTHER BANKS.

P.P.O No. and date	Name of the Pensioner	Existing Link Br. and Code No.	Name of the Link Br. through which payment is desired and Code No.	Existing paying Branch and	Name of paying Branch through which payment is desired and Code No.
(1)	(2)	(3)	(4)	(5)	(6)

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To
The Regional PF Commissioner
Regional Office/Sub-Regional Office
through the present link branch
for followup action.

(Signature of Manager with Seal)

ANNEXURE - 12 - I

(Para - 23.1)

CERTIFICATE TO BE SUBMITTED BY PENSIONER

1. LIFE CERTIFICATE

Certified that I have seen the pensioner _____ (Name of the pensioner) holder of Pension Payment Order No. _____ and that he is alive on this date.

Signature/Thumb impression
of pensioner

Place :

Name _____

Date :

Designation of authorised Officer

Seal _____

ANNEXURE - 12 - II

II. CERTIFICATE OF NON-RE-MARRIAGE

*I hereby declare that I have not been re-married and I undertake to report such an event promptly to the Pension Disbursing Authority/Bank.

Place :

Signature _____

Date :

Name of the Pensioner _____

P.P.O. No. _____

I certify to the best of my knowledge and belief that the above declaration is correct.

Signature of a responsible
Officer or a well-known

Place :

Person _____

Date :

Name _____

Designation _____

S.B. ACCOUNT—FACILITIES

An extract of Instructions issued by R.B.I. to the Managing Directors of State Bank of India and its Associate Banks and General Managers of Nationalised banks in Connection with the extension of facility of allowing Cheque Books and acceptance of standing instructions for transfer of funds from the accounts of Central Civil Pensioners drawing pension under the Scheme for payment of Pensions through Public Sector Banks is reproduced below:—

- (i) **ACCEPTANCE OF STANDING INSTRUCTIONS FROM THE PENSIONER:—**The matter has been examined by us in consultation with the Government of India, Ministry of Finance, who have advised that acceptance of standing instructions for transfer of funds, etc., from the pensioner's accounts would not be inconsistent with the scheme and that they see no objection to public sector banks dealing with such requests from pensioners at their discretion. In exercising such discretion banks may bear in mind the fact that in view of the bonds of indemnity executed by them under the scheme, they will have to compensate the Government in respect of any payment or wrong payment.
- (ii) **EXTENDING CHEQUE BOOK FACILITY TO PENSIONERS:—**
 - (a) Once the amount of pension and/or other pensionary benefit is credited to a pensioner's individual savings/current account, all the operations in the account will be governed by general banking rules and practices. Therefore, withdrawals from the account can be permitted by means of cheque/withdrawal slip as in the case of other account holders. Request for issue of cheque book from the pensioners may therefore be considered by banks on merit of each case and subject to the rules and regulations framed by individual bank in this regard. We feel that withdrawal by means of cheque, if permitted will be of immense help to old pensioners.
 - (b) It is also not necessary to make it compulsory for a pensioner to come personally to bank's office to withdraw the amount of his pension every month, when other account holders have the option to withdraw money from their accounts by means of withdrawals slip/cheques through bearer.

(Authority R.B.I. (Central Office) Ref. GA, NB. No. 333/GA 64 (11-CVL-Misc.)/86/87, dated 5th August, 1986.)

**AGREEMENT REGARDING DISBURSEMENT OF PENSION SCHEME
UNDER THE EMPLOYEES' PENSION SCHEME-1995.**

This agreement entered into between (1) The Central Board of Trustees of Employee's provident Fund acting through the Regional Provident Fund Commissioner, _____

and (2) The _____ Bank a body corporate constituted under Banking Companies (Acquisition and having its Head Office at _____ represented by _____

WHEREAS the Trustess of the Central Board of Trustees in whom the administration of employees' Pension Fund under the Employee's Pension Scheme, 1995 vests, are to make arrangement for disbursement of Pension under the said scheme; WHEREAS the Trustees requested the Bank to take up disbursement of pension in accordance with the applicable provisions of the Employees' Pension Scheme, 1995 and the notifications thereunder; and

WHEREAS the _____ Bank in consideration of the request and promise by the Trustees to remunerate the bank have agreed to take up disbursement of pension under the Employees' Pension scheme with effect from the _____ subject to the parties herein entering into an agreement.

Now this agreement entered into between the parties witnesseth;

- (1) Fund, for the purposes of this agreement shall mean—The monies actually received from the Trustees in the Trustees' Current Account with the Link Branches specified in para (4) for pension disbursement purposes.
- (2) The Trustees declare that the amounts in the account are for disbursement of Pension.
- (3) The Trustees hereby appoint and authorise the _____ Bank to act as their agents, for the purpose of disbursement of pension under the Employees' Pension Scheme 1995.
- (4) These Link Branches where the Trustees Current/S.B.account for depositing the money required for pension disbursement is to be kept in branches situated at _____.
- (5) The Trustees shall place requisite funds for disbursement of pension for the ensuing month in the Current/S.B. Account in the Link Branch 10 days in Advance of the month.
- (6) The Officials form the Regional Office as well as from the Sub-Regional Office who will be nominated by the R.P.F.C., for the Regional offices/Sub-Regional office will authorise payment of Pension under PPO.
- (7) The specimen signature of the Officers authorised will be made available to the Link Branch by the R.P.F.C., well in advance.
- (8) The PPO will be authorised by the nominated Officers and both the copies of the PPO will be sent to the Link Branch through the Regional Office/Sub-Regional Office concerned alongwith all other documents.
- (9) The name of the paying branch from where the payment is required to be made will be indicated in the Pension Payment Order.
- (10) The link branch have to make necessary entries in their records and forward both the copies of the PPO to the paying branch specified by the pensioner within 3 days under intimation to the pensioner.
- (11) On receipt of the documents from the link branch the paying branch shall immediately address the pensioner through a letter advising him to appear at the branch alongwith the documents mentioned therein for the purpose of identification.
- (12) Before commencing payment, the paying branch shall obtain, in the case of new pensioner, specimen

- signature or the thumb impression, as the case may be in the space provided for the purposes in disburser's and pensioner's portion of the PPO and handover the Pensioner's portion of the PPO to him/her after proper identification.
- (13) The paying branch shall also obtain an undertaking from the pensioner that excess payment, if any credited to his or her account due to delay in receipt of any material information or due to any bonafide error, can be recovered by the Bank.
- (14) On the first appearance of a pensioner at the paying branch, the designated office of the Bank will satisfy himself about the identity of the pensioner by ensuring that:—
- (a) the pensioner has produced his/her personal copy of the intimation received directly from the authority issuing the pension payment order or any documentary proof establishing his/her identity, as pensioner.
 - (b) the personal identification marks, if any, in the face or/and hand of the pensioner given in the disburser's portion of the PPO have been checked.
 - (c) the pensioner bears a close resemblance with the photograph as affixed on the disburser's portion of the PPO.
 - (d) the pensioner's specimen signatures or thumb/and fingers/great toe impressions, as the case may be, to be obtained by him in the space provided for the purpose in the disburser's portion of the PPO; agree with the attested signature or thumb/and fingers/great toe impressions received with in PPO; and;
 - (e) in case where it is not possible to comply with the requirement at (d) due to the pensioner being handicapped, his/her identity may be verified with reference to (a) to (c) above.
- (15) The paying branch shall keep the disburser's portion of the PPO in serial order in a separate file for EPF Pensioners, in the personal custody of the authorised officer.
- (16) No bill shall be required to be submitted by the pensioner for drawing pension. Pension will be credited to the Bank account of the Pensioner with the paying branch on the last working day of the month or on a specified date not later than 7th day of the following month to which the pension relates.
- (17) Pension will not be paid in cash or through a joint account with or without either or survivor account;
- (18) The total amount involved in making payment of pension in respect of particular region will be made available to the Bank in respective link branches of the Bank specified in para 4 by Regional Office/ Sub-Regional Office concerned 10 days in advance alongwith the full particulars of the amount to be paid. There may be a list manually prepared or in a floppy after the software is developed by the EPF Organisation in this regard.
- (19) The link branch shall prepare paying branch-wise statements showing the amounts to be disbursed in each paying branch and send it (as per the existing procedure) to the paying branch for ensuring timely credit to the pensioner's account on the date fixed for this purpose.
- (20) The paying branch shall be responsible for deduction of income tax at source from the pension payments in accordance with the rates prescribed from time to time.
- (21) The paying branch shall maintain a detailed record of pension payments made by it from time to time.
- (22) Every payment shall also be entered on the disburser's portion of the PPO and authenticated by the authorised officers of the paying branch.
- (23) The paying branches shall return the monthly pension payment statement indicating inter-alia the details of pension disbursed by them and forward the same to the link branch for debiting the amount in the account specially opened in the link branch by the EPF Organisation.
- (24) The link branch shall furnish to the respective Regional Provident Fund Commissioners of Regional Office/Sub-Regional Offices the total amount of pension credited in the Bank accounts of the pensioner's with full details for entering in the Pension Audit Register before 15th of the month following in which advance paid.

- (25) The balance, if any in the account after disbursement of the pension in a particular month will be adjusted in future months by suitably reducing the total monthly payment to be made to the Bank.
- (26) The Bank shall exercise its functions with adequate care, caution and due diligence and shall be liable for any loss or damages occasioned as a result of fraud or gross negligence or wilful misconduct and or misdemeanor on the part of its servants.
- (27) The appointment of the Bank as Agent is for one year from _____ and unless notice in writing in advance of sixty days is given by the Trustees. The appointment shall continue from year to year, on the same terms and conditions, subject however, that the remuneration herein agreed is revisable every year on mutual negotiations. The Bank shall be entitled to terminate this agreement by giving to the Trustees a notice specifying the date of such termination, which shall not be less than sixty days after the date of giving such notice.
- (28) The service charges shall be 2.5% of the turn over subject to a ceiling to be decided after mutual negotiations. These rates shall be in force for one year and thereafter the rates shall be revised based on the actual expenditure incurred during the first year mutual negotiation between the Trustees and the Banks, for maintaining current account bank will not charge any service charges.
- (29) The bank shall prepare and maintain such records relating to its activities and obligations under this agreement in such manner as is usual in the course of business and/or as may be agreed between the Trustees and Bank.
- (30) In connection with the operation of this Agreement, the bank and the Trustees may from time to time agree on such provisions interpretative of or in addition to the provisions of this agreement as may, in thier joint opinion, be consistent with the general tenor of the Agreement. Any such interpretative or additional provisions shall be in writing, signed by both the parties and shall be annexed hereto, provided that no such interpretative additional provisions made as provided in the preceding sentence would be deemed to be an amendment of this Agreement.
- (31) If any dispute arises between the parties, the same shall, as far as possible be settled by mutual negotiation and in case of failure of resolution, shall be referred to an arbitration by an arbitrator mutually agreed upon by both the parties.
- (32) Any notice given hereunder shall be in writing and may be served by sending by prè-paid registered post, facsimile or at the electronic transmission or by Courier to the parties.
- (33) It is hereby agreed between the parties hereto that the modalities, procedures, systems or any other aspect relating to such matters shall be in accordance with normal practice and may be fomalised by exchange of letters. In witness whereof each of the parties hereto have signed this agreement at _____ on the _____ day of _____

for and on behalf of the

for and on behalf of

Central Board of Trustees
of Employees' Provident Fund

Bank

Name :

Name :

Designation :

Designation :

Witness :

Witness :

Name :

Name :

Designation :

Designation :

Address :

Address :

Service Charge - Demand from Bank

BANK :

Link Branch : Name/Code

SERVICE CHARGES DUE FROM EMPLOYEES' PROVIDENT FUND OFFICE

FOR THE MONTH OF _____

(To be sent to Regional Office/Sub-Regional Office on or before 15th of each month)

Amount disbursed during the month
as per the Annexure : 3 &
Annexure : 5 (col. 6)

Rs.

(Rupees : _____)

Please pay Service charges @ 2.5% on total
Amount disbursed :

Rs.

Date :

Signature of Manager
Link Branch

Seal :

To

The Regional PF Commissioner
Regional Office/Sub-Regional Office

EMPLOYEES' PROVIDENT FUND ORGANISATION (MINISTRY OF LABOUR) GOVT. OF INDIA

EMPLOYEES' PENSION SCHEME, 1995

LIFE CERTIFICATE AND NON-REMARRIAGE CERTIFICATE**Instructions :**

1. The Life Certificate should be furnished in the format given below by all the Pension beneficiaries including children pensioners;
2. Separate Certificate should be given for each pensioner;
3. Certificate may be given by the Manager of the Bank by which the pension is disbursed;
4. Certificate of Non-remarriage given below (Sl. No. II) should be furnished only by the widow/widower recipient of family pension;
5. This certificate should be furnished every year in the month of November;
6. This certificate should be furnished in duplicate.

Name of the Pensioner _____ P.P.O. No. _____
 Bank _____ Branch _____ S.B. A/c No. _____

I. LIFE CERTIFICATE

Certified that I have been the pensioner whose details are given above and that he is alive on this date.

*Signature/Thumb impression of Pensioner
 Guardian of Minor Children Pensioner*

Place :

Date :

Signature of the Manager with Bank Seal

II. CERTIFICATE OF NON-REMARRIAGE

I hereby declare that I have not been re-married and I undertake to report such an event promptly to the pension Disbursing Authority/Bank.

Date :

Signature/Thumb impression of Pensioners

I certify to the best of my knowledge and belief that the above declaration is correct.

Signature of a responsible officer or a well-known person

Place :

Name _____

Date :

Designation _____

(For the use of Disbursing Branch)

Forwarded to Regional PF Commissioner through Link Branch. One copy of the above Certificate is retained.

Place :

Signature of Manager

Date :

Office Seal

(For the use of Regional PF Commissioner's Office)

Entered in the Computer (Bank Reconciliation statement) for updation.

(To be preserved in the PPO file)

D.E.O. (EDP Section)

A.A.O. (Pension Section)